



APEX PARAGON

Atlas Edition

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INTRODUCTION

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No information or opinion contained in this book should be taken as a solicitation or offer to buy or sell any currency, equity or other financial instruments or services.

● INTRODUCTION

○ What is Forex?

Forex is the marketplace where various national currencies are traded. The forex market is the largest and most liquid market in the world.

FX Daily Volume: 5.3 Trillion \$ or 5 300 000 000 000\$

NY Stock Exchange Daily Volume: 22.4 Billion \$ or 22 400 000 000\$



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● INTRODUCTION

○ Trading Platforms:

MetaTrader 4

MetaTrader 5

cTrader



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● INTRODUCTION

○ Broker:

A forex broker works as an intermediary between you and the liquidity provider. They use multiple banks for pricing, and they'll offer you the best one.

How to choose the right broker:

1. Make sure you deposit your money in a segregated account. If not, you have a red flag.
2. The broker must have some sort of regulation in its established country.
3. The spreads and commissions must be competitive.



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INTRODUCTION

Currency pairs:

3 types:

Major Pairs (EUR/USD) (GBP/USD) (USD/JPY) (...):

They all contain the USD in them. They are the most traded pairs in the market.

Minor Pairs (GBP/JPY) (EUR/JPY) (GBP/AUD) (...):

They are a fusion of 2 Major Pairs, called also crosses.

Example: $\text{EUR/USD} + \text{USD/JPY} = \text{EUR/JPY}$

Exotic Pairs (USD/ZAR) (USD/HKD) (USD/PLN) (...):

They are made up of one major currency with another currency of an emerging economy.



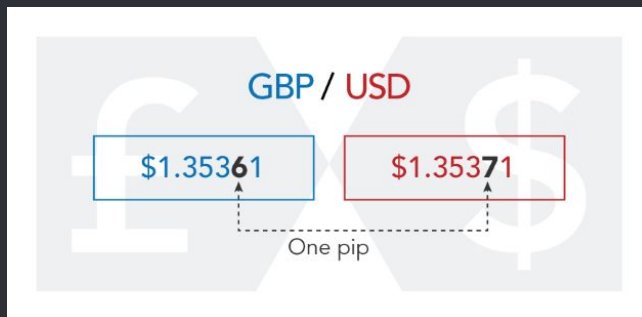
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INTRODUCTION

Pip:

A pip is the measure of the price movement of a currency pair. If there are 5 decimals in a currency, the pip is the 4th. If there are 3 decimals, the pip is the 2nd.

Your goal is to make as many pips as possible. We do not care about money.



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● INTRODUCTION

○ Lots:

The Forex market is traded in specific amounts that are called lots. They are the number of currency units you are buying or selling.

Standart Lot (1 Lot): 100 000 Units of the currency or $\approx 10\$/\text{pip}$

Mini Lot (0.1 Lot): 10 000 Units of the currency or $\approx 1\$/\text{pip}$

Micro Lot (0.01 Lot): 1000 Units of the currency or $\approx 0.10\$/\text{pip}$

[illegible]

INTRODUCTION

Leverage:

Leverage is borrowing a certain amount of money from the broker so that you can open bigger positions in the market.

Example of leverage if you have an account of 10 000\$:

50:1 -----> $10\,000\$ \times 50 = 500\,000\$$ of buying power = Max lot is ≈ 5

100:1 -----> $10\,000\$ \times 100 = 1\,000\,000\$$ of buying power = Max lot is ≈ 10

200:1 -----> $10\,000\$ \times 200 = 2\,000\,000\$$ of buying power = Max lot is ≈ 20

500:1 -----> $10\,000\$ \times 500 = 5\,000\,000\$$ of buying power = Max lot is ≈ 50

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INTRODUCTION

Buy/Sell:

When we buy a currency pair, it means that we are buying the base currency by selling the quote currency.

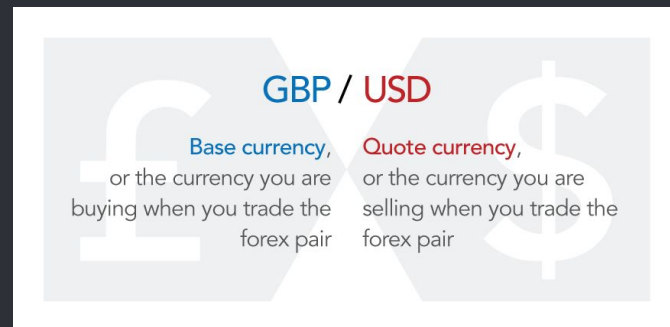
When we sell a currency pair, it means that we are selling the base currency by buying the quote currency.

Example:

We are buying EUR/JPY, it means we are buying EUR and selling JPY

or

We are selling GBP/NZD, it means we are selling GBP and buying NZD



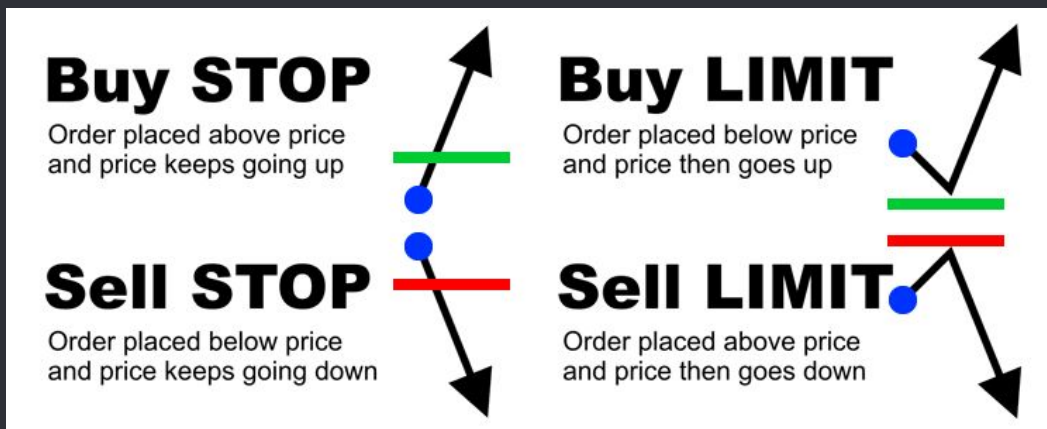


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INTRODUCTION

Limit orders:

A limit order is an order to buy or sell at a specified price. Very useful when you are not in front of the screen.





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TRADING PLAN by Apex Paragon

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Before we begin....very important:

It will take you usually 1-10 days to go through the trading plan and find the right opportunity, however the trade can last multiple days-weeks-months.

You must go through the 4 Pillars on every trade you make. Do not skip the trading plan, errors happen when you do.

Exception is when there is major news event and you must react on the moment (only with experience)

There is no such thing as a perfect trade, market conditions change all the time. You must be prepared to be flexible and adapt your plan with the market. This will come with experience

[illegible]

1st Pillar - Fundamental Analysis (40%)

Fundamental analysis is the study of the overall state of a certain economy. We also look at social and political news that could influence the currency.

- 
1. Verify the economic calendar
 2. Study and understand the economic data
 3. Read, analyze, research the different news sites
 4. Understand the macroeconomics of the countries you're looking to trade it's currencies
 5. Create your fundamental idea (Most Important)
 6. Update your fundamental idea every couple of days or when a major news event occurs (Never neglect this)



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2nd Pillar - Market Sentiment (25%)

This is how financial institutions and retail traders position themselves in the market. Usually they are going to be against each other.

Why 90% of retail traders are losing over 90% of their money in less than 90 days?

What's the difference between a retail trader and an institutional trader?

What's the relationship between retail traders and financial institutions?

How does forex work? What are the rules of the game? What is the basic unchangeable mechanism of the market?

How should you position yourself in the market?

What differentiate a winner from a loser?

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3rd Pillar - Price Action (10%)

Price action is trading technique that allows you to understand where the price wants to go by studying the candlesticks.

How are the big financial institutions positioning themselves?

What are the buyers and sellers doing?

What is the story behind the charts?

Do we want to break or bounce the (element of structure)?

Should I wait for a candlestick confirmation (candlestick patterns)?

[illegible]

4th Pillar - Technical Analysis (25%) (1/4)

Technical Analysis is finding the best price to enter the trade, to execute your fundamental idea and to optimize your trade. Always the last step.

A. Market Structure:

Support and resistance

Accumulation and distribution

Key levels (D1, H4)

Psychological levels

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4th Pillar - Technical Analysis (25%) (2/4)

Technical Analysis is finding the best price to enter the trade, to execute your fundamental idea and to optimize your trade. Always the last step.

B.Market Trend:

Identification of the trend in D1, H4, H1
Bridge between technical analysis and fundamental analysis (Most Important)

- Trendline
- Counter-trendline
- Key level trendline
- Channel
- Counter-Channel
- Break-Hook-Go
- Big Bounce
- Chart patterns
- Institutional trend
- Heartline
- Elliot Waves

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4th Pillar - Technical Analysis (25%) (3/4)

Technical Analysis is finding the best price to enter the trade, to execute your fundamental idea and to optimize your trade. Always the last step.

C.Fibonacci:

Levels of retracement and extension (Impulsion and correction legs)

Entry and exit of your trade

Take profit positioning

Stop loss positioning

Fibonacci confluence with elements of structure

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4th Pillar - Technical Analysis (25%) (4/4)

Technical Analysis is finding the best price to enter the trade, to execute your fundamental idea and to optimize your trade. Always the last step.

D.Divergence:

RSI

MACD

Moving average (50, 100, 200)

Convergence vs divergence

[illegible]

Warning....very important:

The importance of each section of the trading plan will vary with the market conditions. The plan is not stiff, you should adjust it and adapt to when conditions change.

Example:

There is nothing going on fundamentally and/or it is very difficult to create a fundamental ideal since the information you're reading is mixed.

Solution:

The fundamental section of your trading plan will be less important and you should put more emphasis on the technical analysis.

Fundamental: (40% -> 10%)

Technical: (25% -> 55%)

This is also valid the other way around and applicable to every section of the plan.

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TRADING RULES by Apex Paragon

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Trading rules (1/2)

If you follow thoroughly this list of rules, you should never be in a position where you lose a majority/all your capital. This list is from experience and very important to respect.

- Always risk between 1-3% of your account per trade.
- Make sure you always have a minimum risk/reward of 2:1 or more.
- Never make more than 4 trades per week (Trading ideas, not positions).
- Never have more than 2 trades (Trading ideas, not positions) running at the same time.
- Focus on quality and not quantity, do not take partial opportunities in the market. If there is none, do not trade at all.

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Trading rules (2/2)

If you follow thoroughly this list of rules, you should never be in a position where you lose a majority/all your capital. This list is from experience and very important to respect.

- Do not re-enter on a losing trade.
- Do not add on a losing trade (May be allowed if you have a lot of experience).
 - Always make sure your trading journal is up to date, do not be lazy.
- If you lose 2 consecutive trades on your live account, you must go back to your demo account and win 2 consecutive trades to be allowed to go back to your live account (Beginners).



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- 1ST PILLAR:
FUNDAMENTAL
ANALYSIS

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

The economic calendar covers all important fundamental events and releases that affect the forex market. You can see how a particular sector of the economy of country is doing. This information will help you structure your fundamental idea.

Websites I use:

MyFxbook

FxStreet

DailyFx

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

Settings:

Add every major and minor currency.

Select only Medium and High impact news (yellow and red).

Jul 06, 08:30	✓		Unemployment Rate	Medium	3.8%	3.8%	4.0%
Jul 06, 08:30	✓		Unemployment Rate	High	5.8%	5.8%	6.0%
Jul 06, 08:30	✓		Net Change in Employment	High	-7.5K	24K	31.8K
Jul 06, 08:30	✓		Nonfarm Payrolls	High	223K	195K	213K
Jul 06, 08:30	✓		Average Hourly Earnings (YoY)	High	2.7%	2.8%	2.7%
Jul 06, 08:30	✓		Trade Balance	High	-\$46.2B	-\$43.7B	-\$43.1B
Jul 06, 10:00	✓		Ivey Purchasing Managers Index s.a	High	62.5	63.2	63.1
Jul 06, 10:00	✓		Ivey Purchasing Managers Index	High	69.5		65.1
Jul 06, 13:00	✓		Baker Hughes US Oil Rig Count	Medium	858		863

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

Previous: Previous result from last data (usually last month).

Consensus: General agreement, prediction from analysts.

Actual: Actual number that is released at the announced date and hour. Real number.

Jul 06, 08:30	✓		Unemployment Rate	Medium	3.8%	3.8%	4.0%
Jul 06, 08:30	✓		Unemployment Rate	High	5.8%	5.8%	6.0%
Jul 06, 08:30	✓		Net Change in Employment	High	-7.5K	24K	31.8K
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Jul 06, 10:00	✓		Ivey Purchasing Managers Index s.a	High	62.5	63.2	63.1
Jul 06, 10:00	✓		Ivey Purchasing Managers Index	High	69.5		65.1
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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

Click on the news to have a detailed description and the historical calendar chart.

Purple dot: Consensus

Blue dot: Actual



[illegible]

FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

When the actual number is released, the market will react in 2 parts (each one has a complete different personality).

Part 1: The Storm

Duration: As soon as the actual is release until a few minutes afterwards (could be 5-30 minutes, depending on the news).

Characteristics: Market is impulsive, emotional and under the effect of surprise.

Who is trading?: Automatic bots from financial institutions/hedge funds and noob retail traders.



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

How can we understand how the market will react to Part 1?

We will ask ourselves 3 questions:

1. Is the *Actual* a surprise or not relative to the *Consensus*?
2. If it's a surprise, is the surprise positive or negative?
3. On a scale of 1-3, how surprisingly positive or negative is the *Actual*?

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

On a scale of 1-3, how surprisingly positive or negative is the *Actual*?

We will give a score according to 3 criterias:

1. We will look at the importance of the news (Medium or High impact).
2. Look at the difference of numbers between the *Actual* and *Consensus*, is it a slight or large difference.
3. Verify and compare the historic data of the last 3-6 months on the economic calendar chart to confirm criteria #2.



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

Jun: Consensus (3.9) Actual (3.8)

May: Consensus (4.0) Actual (3.9)

Apr: Consensus (4.0) Actual (4.1)

Mar: Consensus (4.0) Actual (4.1)



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

When the actual number is released, the market will react in 2 parts (each one has a complete different personality).

Part 2: The Calm

Duration: Right after the end of the first part (The Storm) until a few hours afterwards.

Characteristics: Market is rational, thought out and planned out.

Who is trading?: Manual traders from financial institutions/hedge funds and professional retail traders.

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

How can we understand how the market will react to Part 2?

We will ask ourselves 3 questions:

1. Is the *Actual* versus the *Previous* positive or negative?
2. Do we arrive at the same conclusion as the first reaction in the second reaction (are both positive/negative or opposite)?
3. How are the financial institutions going to interpret the situation and act? 3 possibilities.



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

How are the financial institutions going to interpret the situation and act? 3 possibilities.

1. If we arrive at the same conclusion for Part 2 as we did for Part 1, we will have a continuation of the first movement.
2. If there's a **slight** difference between Part 2 and Part 1, the market will become uncertain and the price will start consolidating.
3. If Part 2 is the complete opposite of Part 1, the market is going to reverse the first movement.

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

Jun: Consensus (3.9) Actual (3.8)

May: Consensus (4.0) Actual (3.9)

Apr: Consensus (4.0) Actual (4.1)

Mar: Consensus (4.0) Actual (4.1)



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

Jun: Consensus (188K) Actual (223K)
May: Consensus (192K) Actual (164K)
Apr: Consensus (193K) Actual (103K)
Mar: Consensus (200) Actual (313K)



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

Once that is mastered, we are going to be using the economic calendar for 3 reasons:

1. If the news is really, really, really important and you have experience you will be able to trade the second reaction (Part 2)
2. By looking at the economic data, we accumulate information that will help us form our fundamental idea later on (Most Important).
3. By looking at the economic calendar, we have a sense of the importance of different news and we can protect/adjust our current trades (exit the trade or take partial profits).



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **AiG Performance of Mfg Index** - (Australia) Australian Industry Group surveys 200 manufacturers on their assessment of the business situation in the country. This includes employment, production, orders, prices, inventories, and short-term planning. >50 means bullish for AUD, result <50 means Bearish
- **Caixin Manufacturing PMI** - (China) Questionnaires are sent to Purchasing Managers in 400+ private manufacturing sector companies. This number is a result of their replies.
- **Manufacturing Purchasing Managers Index(MoM)** - (Sweden) Captures business conditions in mfg sector because mfg sector dominates a large part of total GDP. >50 = Bullish, and <50 = Bearish
- **Purchasing Manager Index** - (Poland) captures biz conditions in mfg sector. >50 means bullish, and <50 means bearish
- **Unemployment** - (Austria) number of unemployed workers in the country. The higher the number shows worsening of labor market which makes economy weak. A decrease in number = bullish for the **EURO**, and increase is bearish (negative)
- **Markit Manufacturing PMI** - Released by Markit Economics for many countries in Europe. PMI = Purchasing Managers Index. Captures business conditions in mfg sector. >50 = bullish, <50 = bearish
- **Unemployment Change** - survey released by govt. Show how many *unemployed* workers *added* during the past month. It's the leading indicator. Negative number = expansion in workforce. Increase in number = negative (bearish). Decrease in number = bullish (positive)
- **Unemployment Rate s.a. (seasonally adjusted)** - (Germany) Shows percent of unemployed people in Germany, using seasonally adjusted data (seasonally adjusted means removing predictable seasonal job data). Decrease = positive (bullish), Increase = negative (bearish)
- **PMI Construction** - (UK) Shows business conditions in the construction sector. This sector does not influence GDP as much as the manufacturing sector does. >50 bullish for GBP. <50 Bearish
- **Construction Spending** - (US) Measures total amount spent in US on all types of construction. The residential construction component is useful for predicting future national new home sales and mortgage origination volume. High = bullish. Low = Bearish
- **ISM Manufacturing PMI** - (US) Institute for Supply Management (ISM) index shows biz conditions in the US mfg sector. It is significant indicator of overall economic condition in US. >50 is bullish. <50 is bearish.
- **ISM Prices Paid** - (US) Institute of Supply Management shows business conditions in manufacturing sector, but it considers the expectations for future production, new orders, inventories, employment and deliveries. This represents business sentiment regarding future inflation. A high reading = positive. Low reading = negative.

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **FOMC Minutes** - (US) FOMC means Federal Open Market Committee. This committee does 8 meetings per year and reviews economic and financial conditions. They also determine current stance of monetary policy and look at the risks to its long-term goals of price stability and economic growth. This is a clear guide to future US interest rate policy. *why doesn't it have any numbers?
- **Caixin China Services PMI** - 400 purchasing executives from service sector companies reply to questionnaires. This panel is selected to accurately replicate the true structure of the services economy.
- **Markit Services PMI** - Same thing is Markit Manufacturing PMI, but it's in the Services sector. >50 = bullish. <50 = bearish. For Germany, it's not as impactful on GDP as manufacturing sector.
- **Markit PMI Composite** - based on a large number of business executives in mfg and service industry. Released on the 3rd working day of each month. Weighted response based on size of company and its contribution to total mfg or services output. 50% = no change since prev month. >50 = improvement/increase. <50 = decrease/contraction
- **Consumer Credit** - (UK) Released by Bank of England. Shows how much money people borrowed last month. Shows if people can afford large expenses which can fuel economic growth. A high figure can also show economy is overheating as people get loans to live above their means. High reading = positive, low reading = negative.
- **Mortgage Approvals** - (UK) Number of various mortgage approvals. Leading indicator of housing market. High = good for GBP. Low = bad for GBP
- **ADP Employment Change** - (US) Measures the change in the number of employed people in the US. Higher number = more consumer spending = stimulating economic growth = positive for USD. Low reading = negative
- **Continuing Jobless Claims** - (US) The number of people who are unemployed and who are receiving unemployment benefits. Higher number = bad/bearish. Lower number = good/bullish.
- **Initial Jobless Claims** - Number of people filing first-time claims for unemployment insurance. Larger than expected = weakness in market. Decreasing number should be positive/bullish.
- **EIA Crude Oil Stocks change** - the change in the # of barrels in stock of crude oil & its derivatives. This report generates large price volatility as oil prices impact on commodity related currencies the most, such as CAD.
- **Exports** - exports of good/services from residents to non-residents
- **Imports** - imports of goods/services from non-residents to residents
- **Trade Balance** - The difference in the value of its imports & exports of goods. Export data shows importance of growth. Imports provide indication domestic demand. This report gives early indication of net export performance. Positive value shows surplus, negative value shows deficit.

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **Retail Sales** - measures the changes in sales of retail sector. Shows performance of short-term. Positive = bullish. Negative = bearish. Can be MoM or YoY
- **Consumer Price Index (EU norm)** - measure of price movements by comparing retail prices of basket of goods/services
- **Producer Price Index** - measure change in prices received by domestic producers of commodities in all states if processing. High reading = bullish. Low reading = bearish
- **Consumer Price Index (CPI)** - changes in price of basket of goods / services. Good to measure purchasing trends and inflation. Anticipate hawkish attitude which is bullish. Or negative / bearish
- **Consumer Price Index (Core)** - basket of goods and services excluding volatile components like food, energy, alcohol, and tobacco
- **International Merchandise Trade** - difference in value of it's imports and exports of Canadian goods, excluding intangibles like services. Export data gives info about Canada's exports because oil, gold, and mfg dominates a large part of GDP. If steady demand in exchange for exports us seen, then that's a positive for CAD
- **Participation Rate** - total # of people of labor force (15 y/o or above) either looking for a job or working. This data is deseasonalized.
- **Average Hourly Earnings** - The Federal reserve board pays close attention to this when setting interest rates. High number is positive for USD
- **Average Weekly Hours** - average hours worked per week in US
- **Labor Force Participation Rate** - the percentage of people who are currently working.
- **Unemployment Rate** - number of unemployed workers divided by total civilian labor force. It's a leading indicator of Canadian economy. For US, higher rate is during recession times. A growing economy sees this rate decreasing. If rate is up, then lack of expansion. A rise of this rate weakens the economy.
- **Net Change in Employment** - a rise in this number is positive for economic growth, making it bullish.
- **Nonfarm Payrolls** - (US) The number of new jobs created during previous month in non-agricultural business. This number is subject to strong reviews in the upcoming months, and those reviews also tend to trigger volatility in fx board. A high number = bullish. Low reading = negative.
- **Factory Orders (MoM)** - Total orders of durable and non-durable goods, such as sales, inventories and orders are mfg level. This offers insight to inflation and growth mfg sector. High = positive for USD, low reading = negative
- **Ivey Purchasing Managers Index** - Captures business conditions in Canada. This is important indicator of business conditions in Canada. >50 is good, <50 is bad.
- **Ivey Purchasing Managers Index** - Same thing as above, but seasonally adjusted.
- **FOMC Member Harker Speech** - CEO of Third District Federal Reserve Bank, in Philadelphia. Participates on the Federal Open Market Committee.
- **FOMC Member Mester Speech** - CEO of Fed Reserve Bank of Cleveland. Participates on Federal Open Market Committee.
- **Baker Hughes US Oil Rig Count** - important for drilling industry and its suppliers. Shows the number of oil rigs currently in use. The more rigs in use, the more demand for products used in drilling, completing, producing and processing hydrocarbons.



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **MPC Member Haldane Speech** - He is Chief Economist at BoE.
- **AIG Performance of Construction Index** - Based on 120 interviews to construction based companies. Measures conditions based on short term and medium term in construction market. Companies answer questions related to production, employment, prices supplier deliveries, inventories and new orders. High = positive, low = bearish
- **Consumer Confidence** - (Euro) measures level of consumer confidence in economic activity. High consumer confidence stimulate economy. Low drives economic downturn.
- **Services Sentiment** - (Euro) measures business sentiment in the services sector. A survey is asked to firms about current and expected demand. The services sector is 2/3 of Euro GDP, this provides important confirmation of health for overall economy. High levels = upward trends for production and employment. A headline above zero = positive service sector confidence. A negative number shows negative confidence.
- **Industrial Confidence** - (Euro) measures level of industrial exec confidence in economic activity. Survey asks about orders and buildups of inventories. High level = stimulates economic expansion. Low level = economic downturn.
- **Economic Sentiment Indicator** - survey of consumers confidence in economic activity.
- **Business Climate** - Designed to deliver a clear and timely assessment of cyclical situation within euro. High = healthy. Low = adverse business climate. A rise in indicator = upswing and improvement.
- **Bank of Canada Business Outlook Survey** - interviews 100 biz execs. Allows short-term economic situation analysis.
- **FOMC Member Bostic Speech** - CEO of Fed Reserve Bank in Atlanta. Member of Federal Open Market Committee
- **FOMC Member Williams Speech** - President of Fed Reserve Bank in San Francisco. Serves on FOMC
- **Consumer Credit Change** - The amount of money that individuals borrowed. Shows if consumers can afford large expenses which can fuel economic growth. A high figure may also indicate that economy is overheating as people borrow above their means. High reading = bullish. Low reading = bearish.
- **Federal Reserve Bank of Boston President Rosengren Speech** - speech. Medium impact.
- **BRC Like-for-Like Retail Sales** - British Retail Consortium measures changes in actual value of retail sales from participating companies on a regular basis. Shows the performance of the retail sector. High reading = positive. Low reading = negative.
- **Unemployment Rate s.a.** = seasonally adjusted unemployment rate. Number of unemployed workers divided by total civilian labor force. If rate is up, lack of expansion within labor market. A decrease in figure = bullish. Increase = negative
- **Current Account n.s.a.** - net flow of current transactions including goods, services, and interest payments into and out of germany. A high reading - positive, and low reading = bearish
- **Non-monetary policy's ECB meeting** - high impact



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **Real Retail Sales** - Survey of goods sold in the last month and service as indicator of consumer demand. This number is real, not nominal, and is also n.s.a. (which means non-seasonally adjusted). Increase = bullish
- **Housing Starts s.a.** - how many new single-family homes or buildings were made. High = positive, low = bearish
- **JOLTS Job Openings** - survey to help measure job vacancies. Collects data from employers, retailers, manufacturers, and difference offices each month.
- **FOMC Member Kashkari Speech** - CEO of Minneapolis Federal Reserve Bank. Member of FOMC.
- **Manufacturing Production** - significant as short-term indicator of UK manufacturing activity that dominates large part of GDP. High = positive, low = negative.
- **Industrial Production** - Measures outputs of UK factories and mines. Changes in industrial production are widely followed as a major indicator of strength in mfg sector. High = bullish. Low = bearish. Uptrend = inflationary = anticipate interest rates to rise. (w.d.a. = working day adjusted)
- **10-y Bond Auction** - Average yield on Federal Bonds. German bonds have maturities of above 10 years. These represent the yield an investor will receive by holding the bond until maturity.
- **NIESR GDP Estimate (3M)** - an estimate of growth of the last 3 months up to the report which comes out a month before the official announcement. This report is highly reliable and would influence UK monetary policy. High reading = bullish. Low = bearish.
- **Import Price Index** - lets us know the changes in the price of imported products into the US. The higher the cost of imported goods, the stronger the effect the will have on inflation. Resulting in a higher probability of a rate rise. Generally, high reading = bullish, low = bearish. Can be YoY or MoM.
- **Building Permits** - Shows the number of permits for new construction projects. Implies movement of corporate investments. It causes some volatility to the CAD. The more permits, the more bullish the CAD
- **10-Year Note Auction** - US Notes have maturities of 2, 3, 5, 7, and 10 years and pay interest every 6 months. The yield represents the return an investor will receive by holding the bond until maturity.
- **Fed's Bullard Speech** - President of Fed Reserve Bank of St. Louis. Member of FOMC
- **Retail Sales s.a.** - survey of goods sold by retailers. Shows performance over retail sector over short and mid term. High = bullish. Low = bearish
- **Coincident Index** - tracks current state of Japanese economy. Rise = economic expansion. Decline = contraction in economy. >50% = bullish. <50% = bearish
- **Leading Economic Index** - consists of 12 indexes. Higher than previous reading = bullish. Lower than previous = bearish
- **BoE Credit Conditions Survey** - survey for bank and non-bank lenders helps BoE understand trends in credit conditions. This survey covers secured/unsecured lending to households and small businesses.

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **ECB Monetary Policy Meeting Accounts** - overview of financial market, economic and monetary developments. Followed by summary of discussion. The aim is to provide rationale behind monetary policy decisions and enable members of the public to improve their understanding of gov't's assessment of economy.
- **Monthly Budget Statement** - Summarizes the financial activities of federal entities, disbursing officers, and Fed Reserve Banks. Positive = bullish. Negative (deficit) = bearish.
- **Fed's William Dudley Speech** - CEO of Fed Reserve Bank of NY. Medium Impact
- **Foreign Investment in Japan Stocks** - Report showing number of stocks issued in domestic market by foreign entity, in domestic market currency. Positive difference indicates net sales of foreign securities by residents (capital inflow). Negative difference shows outflow.
- **Foreign bond investment** - Report showing number of bonds issued in domestic market by foreign entity, in domestic market currency. Positive difference indicates net sales of foreign securities by residents (capital inflow). Negative difference shows outflow.
- **Eco Watchers Survey: Outlook/Current** - watches region-by-region economic trends. High reading = positive/bullish. Low = negative
- **Retail Sales ex Autos** - Same as retail sales, excluding autos. This is the "advance" report, which can be revised fairly significantly after final numbers are calculated. "how do we get notified if/when something gets revised?"
- **Retail Sales Control Group** - represents the total industry sales that are used to prepare estimate of PCE (personal consumption expenditures) for most goods.
- **German Buba President Weidmann speech** - President of Deutsche Bundesbank
- **MPC Member Tenreiro Speech** - BoE. Medium Impact
- **NZIER Business Confidence** - shows business outlook in NZ. increasing number = increases in business investment that lead to higher levels of output. High reading = bullish. Low reading = bearish
- **Electronic Card Retail Sales** - measures purchases made in NZ on debit, credit, and store cards. Gives hint of strength in retail sector. Influences interest rate decisions. High number = positive. Low number = negative
- **Tertiary Industry Index** - high reading = positive, low reading = negative
- **Wholesale Price Index** - value of sales made by wholesalers in Germany. Growing number = increase in retail trade and consumption = positive. (MoM or YoY)
- **Harmonised Index of Consumer Prices** - index of consumer prices. Is a measure of prices used by Governing Council of EU to define/assess price stability in Euro.
- **Produce Price Index - Input** - measure of rate of inflation experience by manufacturers when buying goods/services. Measures change in avg price of fixed basket of goods/services. High = positive. Low = negative.
- **SNP Chairman Jordan Speech** - Head of Swiss National Bank. His remarks can significantly alter value of the nation's currency. This speech is used as an opportunity to extract clues.



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **Westpac Consumer Confidence** - Measures level of sentiment that individuals have in economic activity. Expectations about 1-year and 5-year economic conditions and views about current buying conditions for main household items.
- **Machinery Orders** - Total value of machinery orders placed at major manufacturers in Japan. Considered the best leading indicator of business capital spending. Increase = stronger business confidence = positive trend for currency.
- **Home Loans** - the number of home loans. Shows housing market in Australia. High = positive.
- **Investment Lending for Homes** - measures number of fixed loans. High reading anticipates growth for economy = bullish.
- **FDI - Foreign Direct Investment** - total investment capital made by foreign enterprises, economic organizations, and individuals. Large investment indicates overall growth and demand for China economy. High reading = positive.
- **MPC Member Saunders Speech** - Medium Impact
- **Capacity Utilization** - what percentage of US production capacity is being used. High capacity stimulates inflationary pressures. High = positive.
- **NAHB Housing Market Index** - Presents home sales and expected home buildings in the future to show trend of housing market in US. High = bullish.
- **Bank of Canada Monetary Policy Report** - Indicates sign of new fiscal policy. Any change makes CAD volatile. If shows hawkish outlook, then seen as positive/bullish.
- **BoC Rate Statement** - medium used to communicate with investors about monetary policy decisions, specifically regarding interest rates
- **BoC Interest Rate Decision** - If Hawkish about inflationary outlook of economy and rises the interest rates, then it is hawkish. If BoC is dovish, and keeps current interest rate (or lowers it), then it is seen as negative/bearish
- **BoC Press Conference** - Press Conference after BoC Monetary Policy Report. 2 parts. First part = prepared statement is read. Then Q/A.
- **Fed's Beige Book** - Reports on current economic situation by interviews with key business contacts, economists, market experts, and other sources gathered by each of the 12 Fed Reserve Districts. Gives clear picture of overall US economic growth.
- **FOMC Member Kaplan Speech** - President and CEO of Federal Reserve Bank of Dallas. He oversees 1,200 employees of Dallas Fed.
- **Consumer Inflation Expectation** - presents consumer expectations of future inflation during next 12 months. Higher expectations = stronger effect on probability of rate hike. High reading = bullish.
- **RICS Housing Price Balance** - presents housing cost in UK. High = positive for GBP.
- **HIA New Home Sales** - presents number of new home sales in Australia. The high reading = bullish
- **NBS Press Conference** - Medium Impact
- **Gross Domestic Product** - gross value of all goods/services produced in China. High reading = bullish for CNY. Can Be (YoY or QoQ)

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **Philadelphia Fed Manufacturing Survey** - spread index of manufacturing conditions in bank of philadelphia. Interrelated with ISM Manufacturing Index (Institute for Supply Management) and index of Industrial Production. Generally, above-the-expectation reading = positive for USD.
- **ECB Coeuré Speech** - Medium Impact
- **Business NZ PMI** - important for overall economic condition. >50 = bullish. <50 = bearish.
- **Producer and Import Prices** - indicator of consumer price inflation. Higher the cost of imported goods, the stronger effect they will have on inflation. High inflation pressure may anticipate interest rates hike. High reading = positive. (MoM or YoY)
- **BoE Monetary Policy Statement** - released usually only in the case of a change in the official bank rate. Talks about outcome regarding interest rates and other policy measures including economic conditions that influenced their decisions. Gives clues to future changes in monetary policy.
- **Manufacturing Shipments** - Examines overall shipments of Canada. Growing number of goods including unsold inventories indicates a fall in market demand, which anticipates bearish. Also, decrease in shipment is seen as bearish. Increase in shipment = bullish
- **Michigan Consumer Sentiment Index** - survey of personal consumer confidence in economic activity. Shows whether people are willing to spend money. High = positive.
- **Fed's Quarles Speech** - Medium Impact
- **Eurogroup Meeting** - Medium Impact
- **Wholesale Sales** - shows value of sales made by wholesalers in Canada. Growing number in wholesales = increases in retail trade and consumption = bullish.
- **Chicago Fed National Activity Index** - monthly index designed to gauge overall economic activity and related inflationary pressure.
- **World Economic Forum - Davos** - Annual meeting where world authorities share their opinions. Topics include economic instability, climate change, and equitable growth.
- **BoJ outlook report** - Released semiannually. Medium Impact
- **BoJ Monetary Policy Statement** - communicates committee's votes regarding interest rates and other policy measures such as economic conditions influencing their decision, the statement gives clues to future changes in monetary policy.
- **BoJ Interest Rate Decision** - Generally, if BoJ is hawkish of inflationary outlook, then interest rate is positive/bullish. If dovish, then they keep existing rate or cut the rate = bearish.
- **All Industry Activity Index** - monthly change in overall production by all industries in japan. High = bullish
- **BoJ Press Conference** - communications with investors regarding monetary policy. Talks about factors that affected the most recent interest rate decision and other stuff.
- **Public Sector Net Borrowing** - amount of new debt held by UK Govt. If net borrowing is negative, means UK are surplus and should be positive. A deficit is generally unfavorable for economy, which makes bearish.



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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **ZEW Survey - Current Situation** - measures institutional investor sentiment. Reflects the difference between the share of investors that are optimistic and the share of analysts that are pessimistic.
- **Adjusted Merchandise Trade Balance** - (Japan) Seasonal measure of balance amount between import and export. Positive value shows trade surplus, negative value shows trade deficit. Japan is so much dependant on exports. High reading = positive for JPY
- **Merchandise Trade Balance Total** - If a steady demand in change for japanese exports is seen, that would turn into a positive
- **Average Earnings excluding Bonus (3Mr/Yr)** - short term indicator of how levels of pay are changing within the UK economy. Can be seen in measure of growth in "basic pay". Positive earnings growth anticipated positive/bullish for GBP. Low = negative/bearish.
- **ILO Unemployment Rate (3M)** - number of unemployed workers divided by total civilian labor force. Leading indicator for UK Economy.
- **Average Earnings including Bonus (3Mr/Yr)** - indicator of how levels of pay are changing within UK economy.
- **Claimant Count Change** - presents the number of unemployed people in UK. A rise in this indicator has negative implications for consumer spending which discourage economic growth. High reading = bearish. Low reading = bullish
- **Claimant Count Rate** - monthly measure of unemployment in UK. Indicates health of UK labor market. If rate is up, shows lack of expansion, which makes it negative/bearish.
- **Housing Price Index** - Provides estimate value of housing market conditions. High reading = positive.
- **Existing Home Sales** - High reading = positive for USD. High Impact.
- **EcoFin Meeting** - Main decision-making body of the Council of european union. Covers areas such as coordinated economic measures, etc. Medium Impact
- **Gfk Consumer Confidence Survey** - Measures level of consumer confidence in economic activity. High reading = positive/bullish.
- **IFO - Business Climate** - closely watched as an early indicator of current conditions and business expectations in Germany. Low reading = negative
- **IFO - Current Assessment** - <http://www.fxstreet.com/education/fundamental/fundamental-forex-strategies/2010-06-11.html>
- **IFO - Expectations** - same thing as IFO - Current Assessment
- **ECB Deposit Rate Decision** - Is the interest rate paid on surplus liquidity that credit institutions may deposit overnight in an account with a national central bank that is part of Eurosystem.
- **ECB Interest Rate Decision** - IF ECB is hawkish about inflation and rises interest rates, then it is positive/bullish for EUR.
- **ECB Monetary Policy Statement & Press Conference** - ECB President gives a press conference regarding monetary policy. His hawkish view = positive. His dovish view = bearish
- **New Home Sales Change** - high number = bullish

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **BoJ Monetary Policy Meeting Minutes** - The BoJ publishes a study of economic movements in Japan after the actual meeting. If BoJ Minutes show a hawkish outlook, that is seen as positive for JPY. Dovish = negative.
- **Gross Domestic Product Annualized** - Is a gross measure of market activity because it indicates the pace at which a country's economy is growing or decreasing. A high reading or better than expected reading = positive for USD. Low reading = negative
- **Durable Goods Orders** - Measures the cost of orders received by manufacturers of durable goods, which means goods planned to last 3+ years (such as motor vehicles/appliances). These typically involve large investments. High = Bullish
- **Durable Goods ex Transportation** - Same as above, excluding transport sector
- **Goods Trade Balance** - Released monthly, between 4-7 days before International Trade Balance.
- **Bank of Japan Governor Kuroda Speech** - Medium Impact
- **BoE's Governor Carney Speech** - High Impact
- **ECB's Lautenschläger Speech** - Medium Impact
- **Personal Income** - Measures total income received by individuals, from all sources including wages, salaries, interest, dividends, rent, works comp, proprietors' earnings, transfer payments. High reading = positive.
- **Personal Consumption Expenditures - Price Index** - Measures total expenditure by individuals. Accounts for such situations when consumers switch from buying one good to another based on price changes. Preferred measure of inflation for Fed Reserve.
- **Dallas Fed Manufacturing Business Index** - This survey is conducted monthly to get assessment of Texas's factory activity.
- **Jobs/Applicants Ratio** - divide monthly active job openings by monthly active applications
- **Overall Household Spending** - measures total expenditure by households. Used as an indicator of consumer optimism. Also considered a measure of economic growth.
- **Large Retailer's Sales** - captures total value of good sold in large stores, convenience stores, supermarkets. High reading = positive
- **Retail Trade** - captures aggregate sales made through a business location. High reading = positive. (can also be s.a.)
- **KOF Leading Indicator** - Captures movement of GDP growth and economic trend in Switzerland.
- **S&P/Case-Shiller Home Prices Indices** - examines the changes in value of residential real estate market in 20 regions across US. High reading = bullish.
- **ECB's Mersch Speech** - Medium Impact
- **RBA Trimmed Mean CPI** - measure of price movements by the comparison between retail prices of a shopping basket of goods/services. Trimmed Mean is calculated as the weighted mean of the central 70% of the quarterly price change distribution of all CPI components. Annual rates based on quarterly calculations

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FUNDAMENTAL ANALYSIS

Economic Calendar (30%)

You must study and understand every news on the economic calendar.

Here is a list I made:

- **Non-manufacturing PMI** - based on survey of around 1,200 companies covering 27 industries. >50 = expansion. <50 = contraction.
- **NBS Manufacturing PMI** - Studies business conditions in the Chinese mfg sector. >50 = expansion. <50 = contraction.
- **UBS Consumption Indicator** - private consumption trends which is the most important component of Swiss GDP. This index is based on 5 components: new car sales, business activity in retail sector, number of domestic hotel overnights by Swiss nationals, consumer sentiment index, credit card transactions via UBS points of sale. Higher than expected = bullish.
- **ZEW Survey - Expectations** - presents business conditions, employment conditions and other elements affecting the day to day running of a business in Switzerland. High reading = bullish.
- **Pending Home Sales** - captures residential housing contract activity of existing single-family homes. High rating = positive. (YoY or MoM)
- **Fed's Monetary Policy Statement** - Following Fed's rate decision, the FOMC released statement regarding monetary policy. Hawkish view = positive/bullish.
- **Fed Interest Rate Decision** - A rate hike tends to boost local currency, as it is understood as a sign of a healthy inflation. Rate cut = sign of economic and inflationary woes which weakens currency. If rates remain unchanged, attention turns to the tone of the FOMC statement, whether the tone is hawkish or dovish over future developments of inflation.
- **Retail Price Index (RPI)** - (UK) Measure of inflation published monthly. Measures change in the cost of a representative sample of retail goods/services.

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

Real-time forex news of the different fundamental events worldwide (Central bank news, Political problems, ongoing wars, basically any event that can affect a currency). This will be the majority of our fundamental work and will be the principal tool to create our fundamental idea.

Websites I use:

ForexLive (Global), BBC (GBP)

Bloomberg (USD), Reuters

The Guardian, Financial Times

Google

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FUNDAMENTAL ANALYSIS

Headline news (70%)

ForexLive is the best website to read and research everything that is going on with the FX Market.

4 Professional Analysts: They follow every news source and post on the site 24/7

Each post = Fundamental headline (There can be 50-200 headlines per day)

At first you will read every headline, but with time and experience you will know what to look for and be selective in your reading

The Must Read section are the most important news of the moment

Reading the Trading Session Wraps everyday is a must to always keep yourself updated

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

You must first understand that you won't understand a majority of headline at start, you don't know the story. It will take you a few months to get up to speed. The more you read, the more clear it will become.

Your goal is to accumulate important fundamental information and put it in your *fundamental bag* to grow your understanding/knowledge and later on form your fundamental idea.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Main trading sessions:

Tokyo:

Asian market is the most active.

Currencies who are moving: JPY, AUD, NZD

London:

European market is the most active.

Currencies who are moving: GBP, EUR, CHF

New York:

American market is the most active.

Currencies who are moving: USD, CAD, GOLD

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Remember that we said that we are never going to trade major pairs, why? Because they contain the US dollar in them.

Now, why won't shouldn't we trade the USD?

The New York session is the worst one to trade because of the following reasons:

The USD is extremely bipolar and the most difficult currency to predict because all of the political/economical relationships with other countries.

Trump.

Financial institutions agendas (outside of trading).

USD is good for day-trading not swing-trading, doesn't fit our style and by extension is not optimal.

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

What currency will we be trading? Minor pairs, but only a selected few.

GBP/JPY

GBP/AUD

GBP/NZD

EUR/JPY

EUR/AUD

EUR/NZD

With a lot of experience (only exception that contains USD): XAU/USD

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

You see that all of those currencies are mostly moving during the Tokyo and London session (GBP, EUR, JPY, AUD, NZD), well that is going to be our preferred trading hours. However you can trade anytime of the day if you have a good opportunity/entry.

Why these currencies?

The selected pairs have little political/economical links between them. It makes it easier to predict the fundamental and it's more stable. This allows us to make swing trades that can last a few days to a few weeks without too much fundamental turbulence comparatively to the USD. Also these are known to be professional traders' pairs since they move a lot and obey more technical analysis, they are great to generate money.

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

JPY:

JPY is inversely correlated with CNY

JPY is a safe haven in asia. When things are bad in asia, the JPY goes up

JPY is a safe haven because they have a strict monetary policy. They handle their economy very seriously and safely. It's a worry-free investment for investors in asia

Monetary policy and economic data (Interest rate, BOJ, GDP, Inflation, CPI, etc)

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

AUD:

AUD does business mostly with China, it's economy depends on it

AUD is directly correlated with China's economy

AUD is a big producer of gold, when gold appreciates it affects AUD positively

AUD little brother is NZD

Monetary policy and economic data (Interest rate, RBA, GDP, Inflation, CPI, etc)

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

NZD:

NZD is very dependant on AUD, it's their principal business partner

Since AUD is dependant on China, NZD is indirectly dependant on China as well

NZD has an economy very dependant on dairy products that they export

Monetary policy and economic data (Interest rate, RBNZ, GDP, Inflation, CPI, etc)

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

GBP:

Brexit, dependant on brexit news

Relationship with the EU. After Brexit this currency will move based on that relationship

Relationship inside the UK (Ireland, Scotland, England)

Monetary policy and economic data (Interest rate, BOE, GDP, Inflation, CPI, etc)

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

EUR:

Relationship with the USA, Trump wants to put tariffs on Euro's cars

Relationship with countries inside of the EU (Very Important)

One country can (positively or negatively) affect the EU as a whole

Monetary policy and economic data (Interest rate, ECB, GDP, Inflation, CPI, etc)

Brexit, but small effect compared to GBP

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

CHF:

Safe haven of Europe, when Eur is not doing good, Chf will go up

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

USD:

Equities market (Stocks, Indexes, etc)

International relationships (Trump vs China, North Korea, EU, etc)

Monetary policy and economic data (Interest rate, FED, GDP, Inflation, CPI, etc)

Housing Market

USD is opposite of XAU (Gold)

Usually inversely correlated to AUD because of XAU and CNY

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

CAD:

Very dependent on oil prices, Canada is a big producer of oil

If Oil is up, CAD will be up

Relationship with USD, specific headlines regarding positive/negative issues between both countries can affect CAD

Monetary policy and economic data (Interest rate, BOC, GDP, Inflation, CPI, etc)

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now let's get to know our currencies. This will help us better understand our headline news.

Correlation between currencies and what makes each currency move fundamentally:

XAU (GOLD):

Safe haven for the whole world, but mainly invested from the US

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

1. When a problem occurs/emerges, the currency will react negatively in proportion to the size of the problem. Same thing for the duration of the negativity. However, negative news is always more powerful than positive news since humans are more sensitive to negativity.
2. When a solution/good event occurs emerges, the currency will react positively in proportion to the size of the good news. Same thing for the duration of the positivity.
3. If there isn't any problem or any good news, the fundamental is flat, which means it's less important and the market is going to move according to technical analysis.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 1 (Simulation):

US and North Korea tensions are building up for a few weeks now. North Korea continues to test their new weapon technology, but there has been no attack on the US or any other country.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?



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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 1 (Simulation):

US and North Korea tensions are building up for a few weeks now. North Korea continues to test their new weapon technology, but there has been no attack on the US or any other country.

Answer: Tensions are heavily felt on the overall currency market, all eyes are on North Korea. The situation is quite negative (8/10) because of the fears of escalation and the potential incoming war. Negativity will last until this problem is solved definitely. You have to monitor the headlines carefully. Your trading will be focused on this situation.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 2 (Simulation):

The president of Angola has been murdered last night due to a political conflict with another african country.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 2 (Simulation):

The president of Angola has been murdered last night due to a political conflict with another african country.

Answer: The market is barely affected. It doesn't really care about this headline. Why is that? Because it doesn't affect the global currencies that we trade, angola doesn't have important relationships with the rest of the world. Fundamental is flat.

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 3 (Simulation):

A civil war breaks out in China to bring down the government. The army is in the streets fighting the civilians, the whole country is shut down. Everyday, the situation is only getting worst.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 3 (Simulation):

A civil war breaks out in China to bring down the government. The army is in the streets fighting the civilians, the whole country is shut down. Everyday, the situation is only getting worst.

Answer: The effect of this headline is HEAVILY felt throughout the whole currency market (10/10). A risk-OFF mood is felt with investors. This problem could last for months/years and will be a large part of your trading. Great opportunities and movements will be created because of this situation.

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are approximately 20 lines visible. The paper has a slight shadow on the right side, suggesting it's resting on a surface. There is no handwriting or other markings on the paper.

FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 4 (Simulation):

The market expected a FED interest rate CUT, however at 2:30PM, the result came out with being a interest rate HIKE against all odds.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 4 (Simulation):

The market expected a FED interest rate CUT, however at 2:30PM, the result came out with being a interest rate HIKE against all odds.

Answer: Very positive reaction, very explosive because of the surprising good news. However very short lived, the market will move on very quickly since there is not much to follow up with (A few days at most).

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 5 (Simulation):

The white house is considering tax incentives for more americans for buy stock.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 5 (Simulation):

The white house is considering tax incentives for more americans for buy stock.

Answer: Even though the headline seems positive, it has absolutely no impact on any currency. This is a speculation headline, does not affect the economy at the moment so there is no reason at all for it to have an impact in the forex market.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 6 (Simulation):

A new virus spreads out in China at a very high pace. It is contained for the most part only in China at the moment and the virus looks more like a bad flu than a dangerous toxic pathogen.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 6 (Simulation):

A new virus spreads out in China at a very high pace. It is contained for the most part only in China at the moment and the virus looks more like a bad flu than a dangerous toxic pathogen.

Answer: The market reacts very badly at the beginning because of the fear of the virus. After a few weeks, the market understand that the situation is less dangerous than expected at first. The effect of this headlines are almost gone on currencies. However, eyes are still watching closely the development of this situation.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 6 (Simulation):

Report: Multiple rockets fired at US Embassy in Baghdad. No injuries or damage reported.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?



A series of 18 horizontal lines, evenly spaced, spanning the width of the page. These lines are intended for writing or drawing.

FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 6 (Simulation):

Report: Multiple rockets fired at US Embassy in Baghdad. No injuries or damage reported.

Answer: Big reaction in risk assets/currencies, however short lived. Since there is no damage made, the market will correct itself pretty quickly. The follow up will be to monitor the situation and see if we have an escalation or a fade away. This will either make the market forget about the event or come back to their original reaction.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 7 (Simulation):

Trump decides to impose tariffs on all european cars coming to the USA.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 7 (Simulation):

Trump decides to impose tariffs on all european cars coming to the USA.

Answer: Market will react moderately to this headline (6/10). The market still remembers what happened with the US-China trade war and wants to avoid another similar situation. EUR will be affected negatively. The focus will be to see what is the answer from the EU.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 8 (Simulation):

Powell shares in a statement that the US Economy is doing great and that the Fed will keep the interest rates steady.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 8 (Simulation):

Powell shares in a statement that the US Economy is doing great and that the Fed will keep the interest rates steady.

Answer: The effect of this headline will be positively felt on the US dollar throughout the following weeks/months. There might be a slight instant positive reaction on the release of the headline, but short lived. The real effects will be on the long term.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 9 (Simulation):

RBNZ is expected to hike the interest rate today. The results come out and they decided to not hike the interest rate.

How do you interpret this fundamental situation?

Positive or Negative? Size of the situation? Duration of the situation? Impact on market?

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FUNDAMENTAL ANALYSIS

Headline news (70%)

What should you look for when you are reading, researching, analysis headline news?

There are 3 principles that moves/affects the market:

Example 9 (Simulation):

RBNZ is expected to hike the interest rate today. The results come out and they decided to not hike the interest rate.

Answer: Even though nothing negative has been released, the market will react explosively and very negatively. Why is that? Because their expectations have not been met. The result is that the market is unhappy with the steady interest rate and will sell NZD aggressively for a short period of time.

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

Extra research...

If you need more information than what is available on ForexLive, you are going to research on the other news site and on google. This will allow you to push your reflection and have a more accurate fundamental idea.

Warning: Do not overcomplicate your fundamental, you are not an analyst, you are a trader. You must know enough to get a market bias and direction but you mustn't begin to do statistical analysis of every little detail of the fundamental. This will bring more confusion and you won't be able to make straight market decisions.

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now the **GRAND FINALE**: Creation of the **Fundamental Idea**

This is the most important part of all your trading

You will take all the information you have acquired in all your previous fundamental work (economic calendar, economic data analysis, headline news analysis, research online, etc) and create a your fundamental bias/idea

Before even looking at the charts, you **MUST** know in which direction the market is heading

Example:

GBP - interest rate hike + Second referendum and cancellation of Brexit

JPY - End of US-China trade war, deal made + High unemployment rate and expectation of a rate cut in the next 3-6 months

GBP STRONG and JPY WEAK = LONG GBP/JPY

[illegible]

FUNDAMENTAL ANALYSIS

Headline news (70%)

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Example:

EUR - Nothing really going on fundamentally

AUD - Great jobs report and economy growth causes interest rate hike + CoronaVirus situation is finished

EUR NEUTRAL and AUD STRONG = SHORT EUR/AUD

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FUNDAMENTAL ANALYSIS

Headline news (70%)

Now the **GRAND FINALE**: Creation of the **Fundamental Idea**

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Example:

XAU - Tensions between US-North Korea, US Tariffs on EU cars, Conflict between China and Australia

USD - Interest rate cut + Bad jobs report

XAU STRONG and USD WEAK = LONG XAU/USD

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FUNDAMENTAL ANALYSIS

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You will take all the information you have acquired in all your previous fundamental work (economic calendar, economic data analysis, headline news analysis, research online, etc) and create a your fundamental bias/idea

Before even looking at the charts, you **MUST** know in which direction the market is heading

Example:

GBP - Brexit is now finished and solved + Interest rate hike + Great overall economic growth

NZD - Interest rate hike + Great overall economic growth

GBP STRONG and NZD STRONG = CONFLICT OF CURRENCIES, NO TRADE

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FUNDAMENTAL ANALYSIS

CREATION OF ART



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- 2ND PILLAR:
MARKET
SENTIMENT

[illegible]

MARKET SENTIMENT

Why 90% of retail traders are losing 90% of their money in less than 90 days?

Retail traders are individual traders from the general population who are trading their own personal account. Usually they don't have the same knowledge/expertise/experience as institutional traders.

Mistakes:

1. They do not take the market seriously, they only see it as a way of making a lot of money quickly - **unprofessionalism**
2. They are lacking the knowledge and understanding of the market, they underestimate it - **ignorance**
3. They are emotional in their approach, when they have wins or losses it affects directly their trading - **inconsistency**
4. They rely on someone else to tell them what to do (signals, mentorships, etc) - **lack of responsibility**
5. They are impatient, risking a lot to make huge sums of money - **over leverage**

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● MARKET SENTIMENT

● What's the difference between a retail trader and an institutional trader?

We explained previously what is a retail trader. On the other hand, an institutional trader is someone that works for a bank/hedge fund and has followed a rigorous financial training in university and directly at a financial institution.

They are professional in their approach, they have the knowledge/experience and they manage big trading accounts. This is their living and they dedicated their life to it.

As institutional traders they have a bit of an advantage in terms of the speed of accessibility to the information and the custom software they are using, however this advantage is very small and is not worth considering in our way of trading.

[illegible]

MARKET SENTIMENT

What's the relationship between retail traders and financial institutions?

We can say that the financial institutions are the lions and the retail traders are the antelopes.

The goal of any financial institution is to make money and they do that by taking it from retail traders, they are eating them.

They will trick the retail traders in many ways to make them lose their trades so they can profit from them. This is the law of the jungle.

**Top 10 controls
64.78% of the
FX market**

Global Market Share			
Overall Volume (Adjusted SWAPS*)			
Rank 2019	Rank 2018	Counterparty	Market share 2019
1	1	JPMorgan	9.81%
2	8	Deutsche Bank	8.41%
3	5	Citi	7.87%
4	3	XTX Markets	7.22%
5	2	UBS	6.63%
6	10	State Street	5.50%
7	13	HCTech	5.28%
8	6	HSBC	4.93%
9	4	Bank of America Merrill Lynch	4.63%
10	7	Goldman Sachs	4.50%

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● MARKET SENTIMENT

- What is the most important rule of the forex market? The basic, unchangeable mechanism of the market?

THE MARKET IS A ZERO SUM GAME.

IN ORDER TO HAVE A WINNER YOU MUST HAVE AN EQUAL LOSER.

IF I MAKE A TRADE AND WIN 100 000\$, SOMEONE HAS TO LOSE 100 000\$ SOMEWHERE ON THE PLANET AT THE SAME TIME I CLOSE MY TRADE.

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MARKET SENTIMENT



How should you position yourself in the market?

You must always be positioned in the same direction as the institutional traders and most of time against retail traders.

How can you know if you are well positioned?

By following this trading plan you are trading and thinking like a professional institutional trader. Also retail traders are easy to predict, if you know their next move you can do the opposite of what they are doing. If 90% of retail traders are long on a trade because the trade is too easy/obvious, you know the financial institutions will position themselves for a short. They will either just do the opposite and make the price go down or they will temporary move the price down to wipe out the retail traders and then let the price go back up if it's in their best interest for the currency to appreciate.

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MARKET SENTIMENT



What differentiate a winner from a loser in the market?

It will be your capacity to follow the institutional movements. The more you are able to predict and follow the institutions, the more pips you are going to make.

You must become an **HYBRID**, having the knowledge/experience of an institutional trader but having all the personal flexibility/freedom of a retail trader to enter/exit/manage their trade without a hierarchy. Institutions are **Powerful but Slow**, retail traders are **Weak but Fast**, you must become **Powerful and Fast**

You also have less money to manage, which makes entry and exit very easy, you will probably never have a liquidity problem where you can't enter the trade because your position is too large. Even if you get there, it's a good problem to have.

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- 3RD PILLAR:
PRICE ACTION

[illegible]

● PRICE ACTION

● Price action is the art of the study of candlesticks.

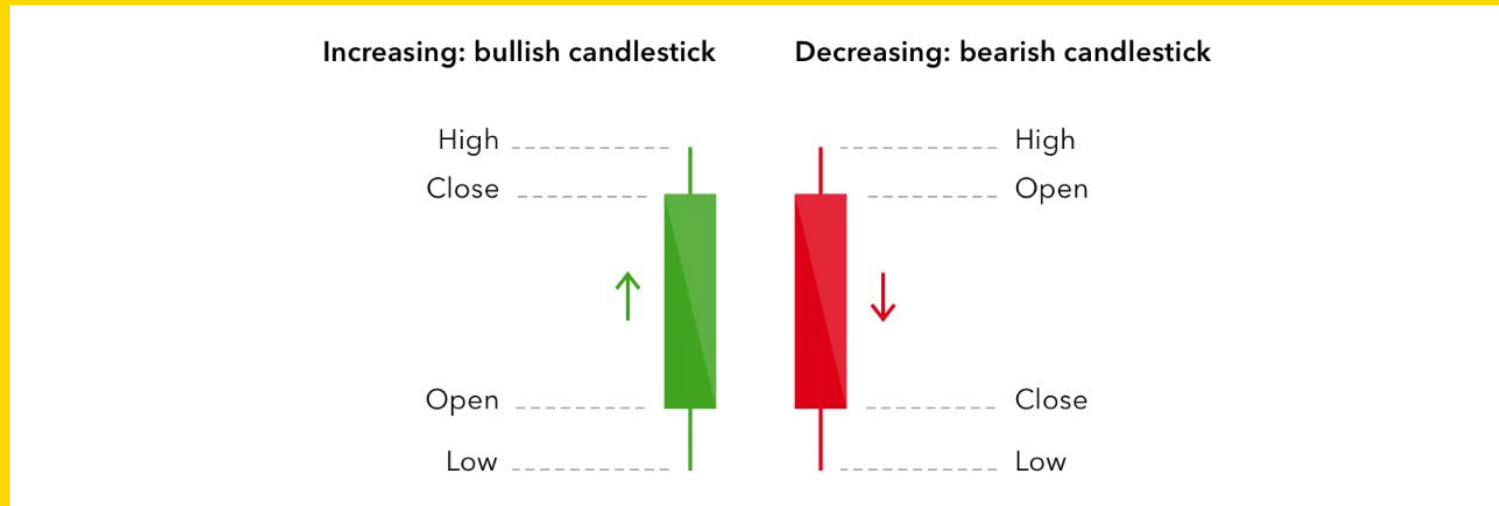
By analysing candlesticks and their movements in the market, we are able to understand how are the big financial institutions positioning themselves, where are the retail traders traps and what are the buyers and sellers doing/thinking.

We get to know the story of the charts, this is very helpful for our technical idea construction.

[illegible]

PRICE ACTION

What is a candlestick?



This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

PRICE ACTION

Candlestick principles:

1. Long wick is equal to a heavy rejection, which means the price doesn't want to go higher/lower because either we have reached the **Take Profit** of financial institutions, or there is an **Agenda** that the financial institutions want to respect, or it was a **Retail Trader Trap**, or it was a **Fundamental Event**.
2. Big large full candlestick is equal to a big position entered in the market, which means either the financial institutions have **Entered** their trade or they are manipulating the price to **Trap Retail Traders**.
3. Large period of candlestick consolidation is equal to financial institutions creating their game plan, which means they are either **Gaining Time** by not moving the price, or are **Accumulating/Distributing** their positions in a range of price.

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- PRICE ACTION

- Candlestick principles:

#1 Example:



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● PRICE ACTION

● Candlestick principles:

#1 Example:

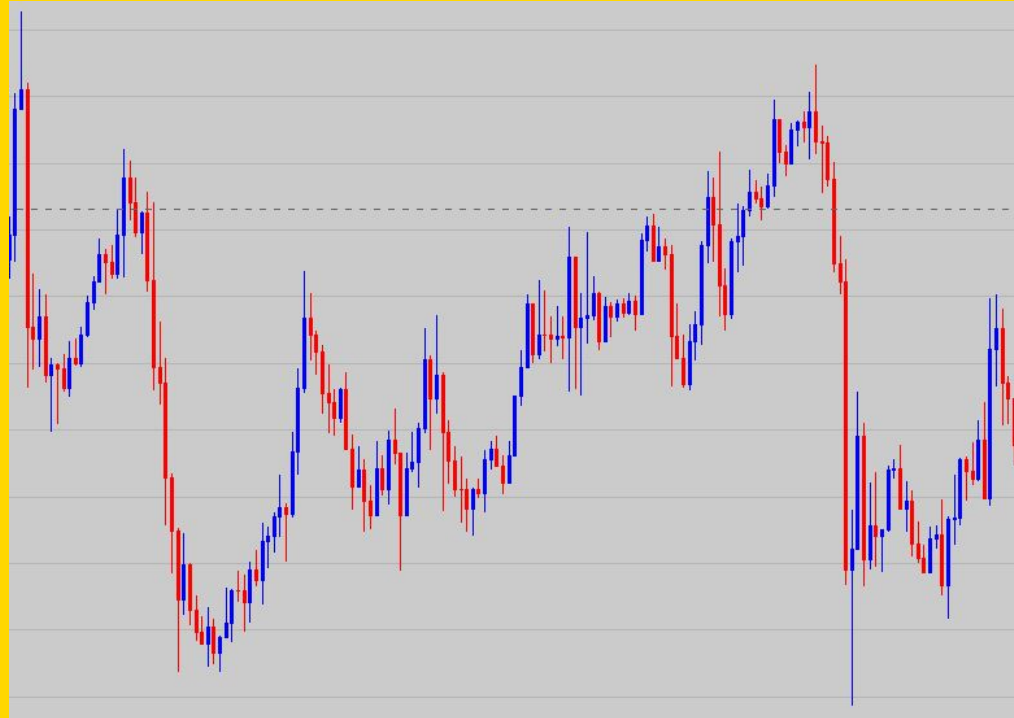


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- PRICE ACTION

- Candlestick principles:

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- PRICE ACTION

- Candlestick principles:

#1 Example:



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- PRICE ACTION

- Candlestick principles:

#2 Example:



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- PRICE ACTION

- Candlestick principles:

#2 Example:



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- PRICE ACTION

- Candlestick principles:

#2 Example:

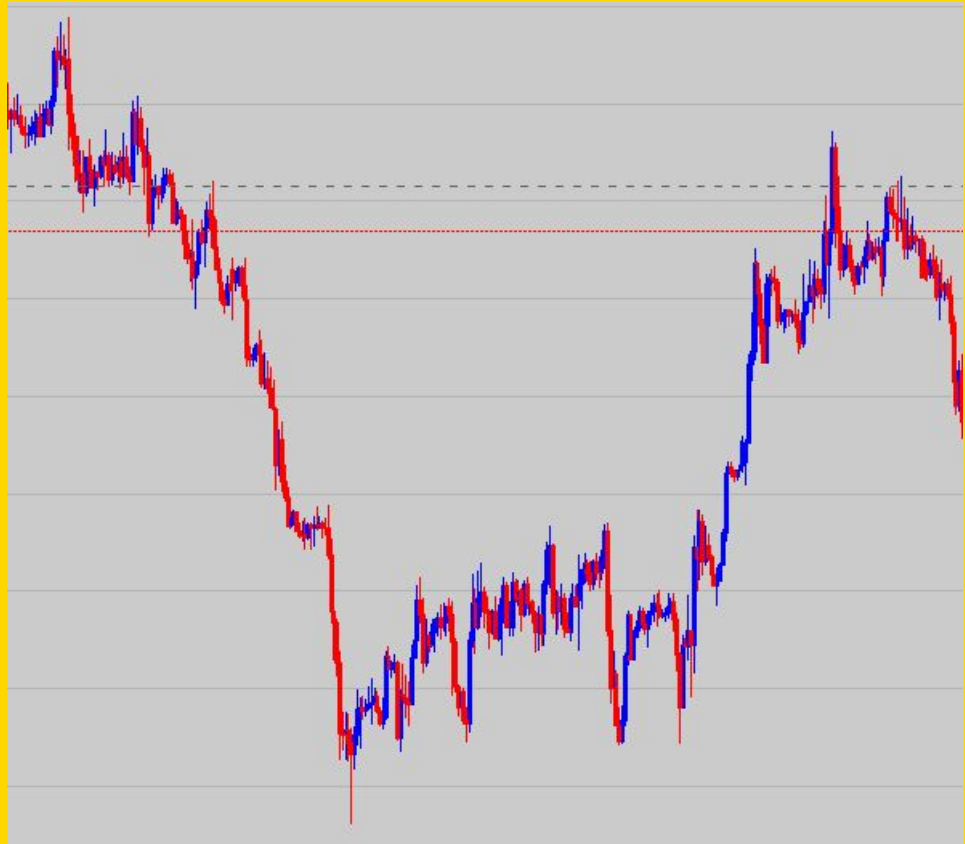


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- PRICE ACTION

- Candlestick principles:

#3 Example:

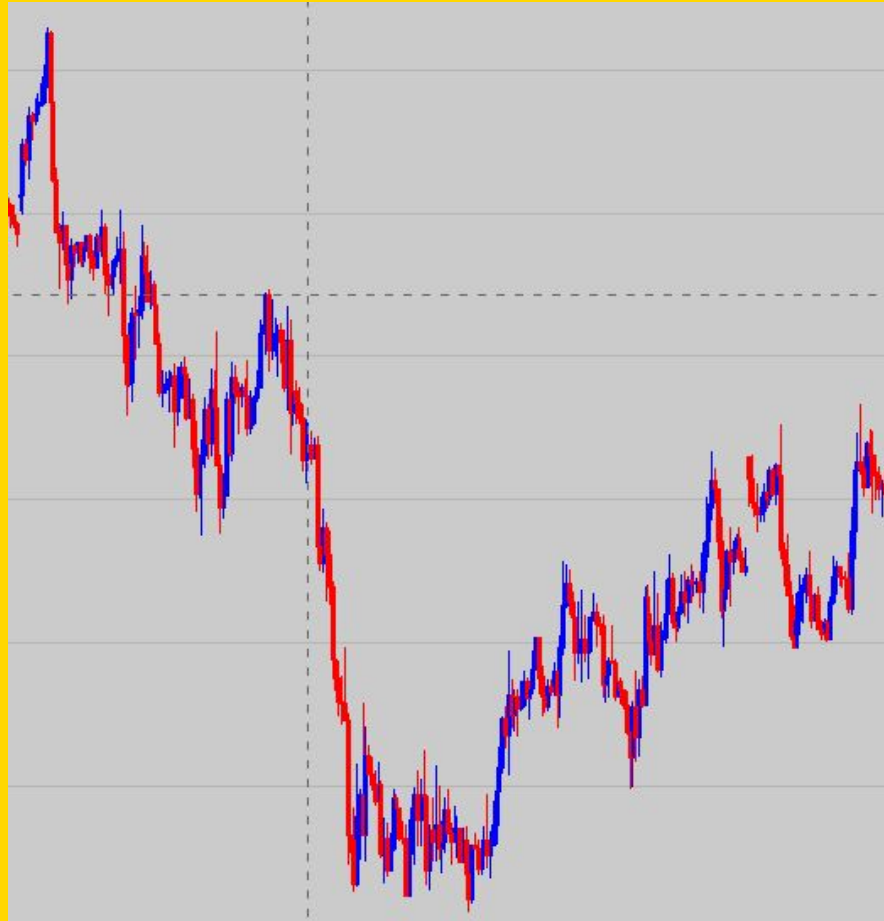


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- PRICE ACTION

- Candlestick principles:

#3 Example:

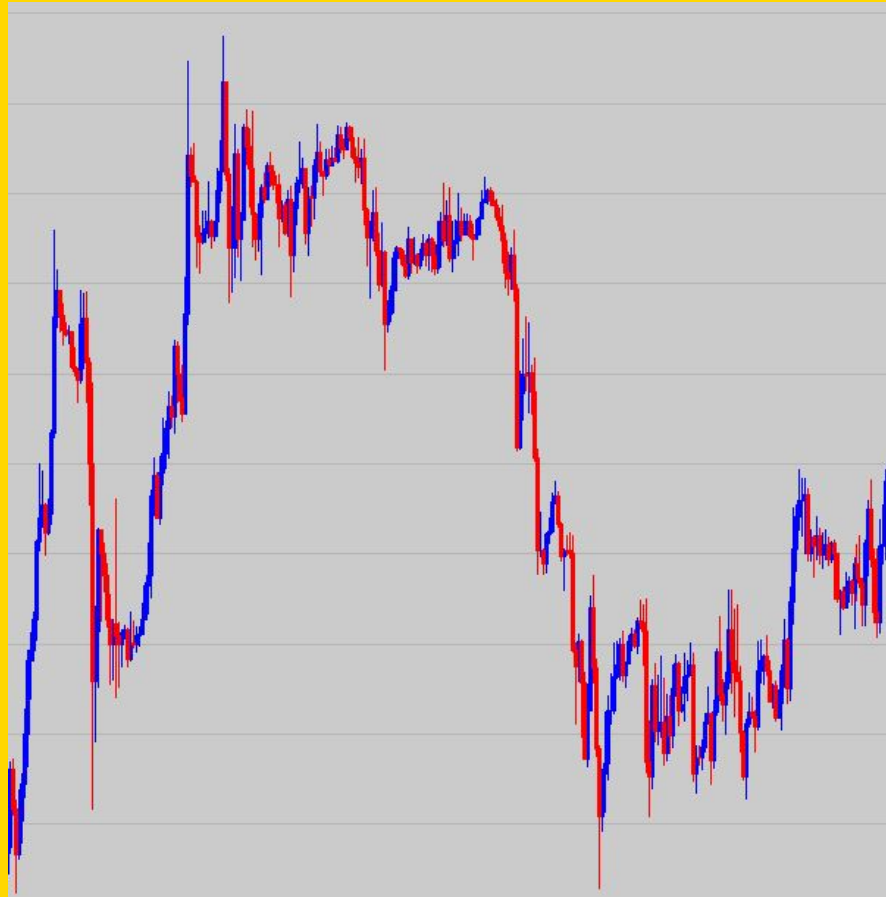


[illegible]

- PRICE ACTION

- Candlestick principles:

#3 Example:



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● PRICE ACTION

● Candlestick patterns:

Based on the 3 candlestick principles, they are patterns that are recurring in the market. They are telling us what is going on with the buyers/sellers/institutions/retails/etc.

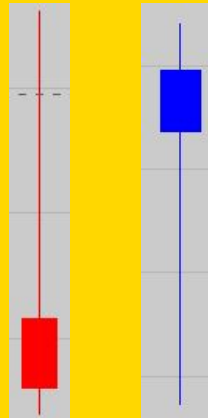
Could serve as a confirmation to enter a trade after we have went through our trading plan.

#1:

Hammer Candlestick

Based on the first principle

Bearish and Bullish



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● PRICE ACTION

● Candlestick patterns:

Based on the 3 candlestick principles, they are patterns that are recurring in the market. They are telling us what is going on with the buyers/sellers/institutions/retails/etc.

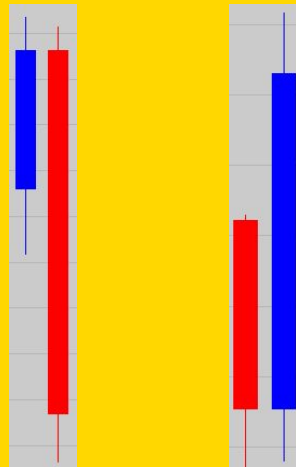
Could serve as a confirmation to enter a trade after we have went through our trading plan.

#2:

Engulfing Candlestick

Based on the second principle

Bearish and Bullish



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● PRICE ACTION

● Candlestick patterns:

Based on the 3 candlestick principles, they are patterns that are recurring in the market. They are telling us what is going on with the buyers/sellers/institutions/retails/etc.

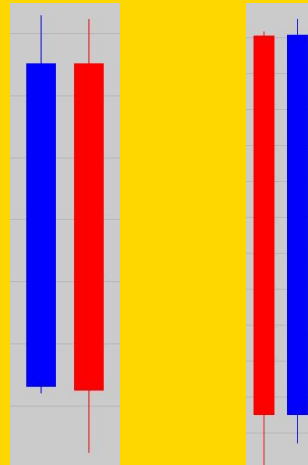
Could serve as a confirmation to enter a trade after we have went through our trading plan.

#3:

Close & Reverse Candlestick

Based on the second & third principle

Bearish and Bullish



[illegible]

● PRICE ACTION

● With time and experience you will be able to understand better the relationship between the actors in the market and how the candlesticks move.

Follow the principles and the patterns at first, this will guide you in the right direction.

Sometimes the movements on the market are very complex, it can happen that multiple principles/patterns fuse together to create something new and unique, you have to use your creativity and understanding to come up with a solution on those occasions.

[illegible]

- 4TH PILLAR:
TECHNICAL
ANALYSIS

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● TECHNICAL ANALYSIS

○ Market Structure

Support:

A support is a price level in a downtrend where the market stops, pauses or bounces to the upside.

Resistance

A resistance is a price level in a uptrend where the market stops/pauses/bounces to the downside.

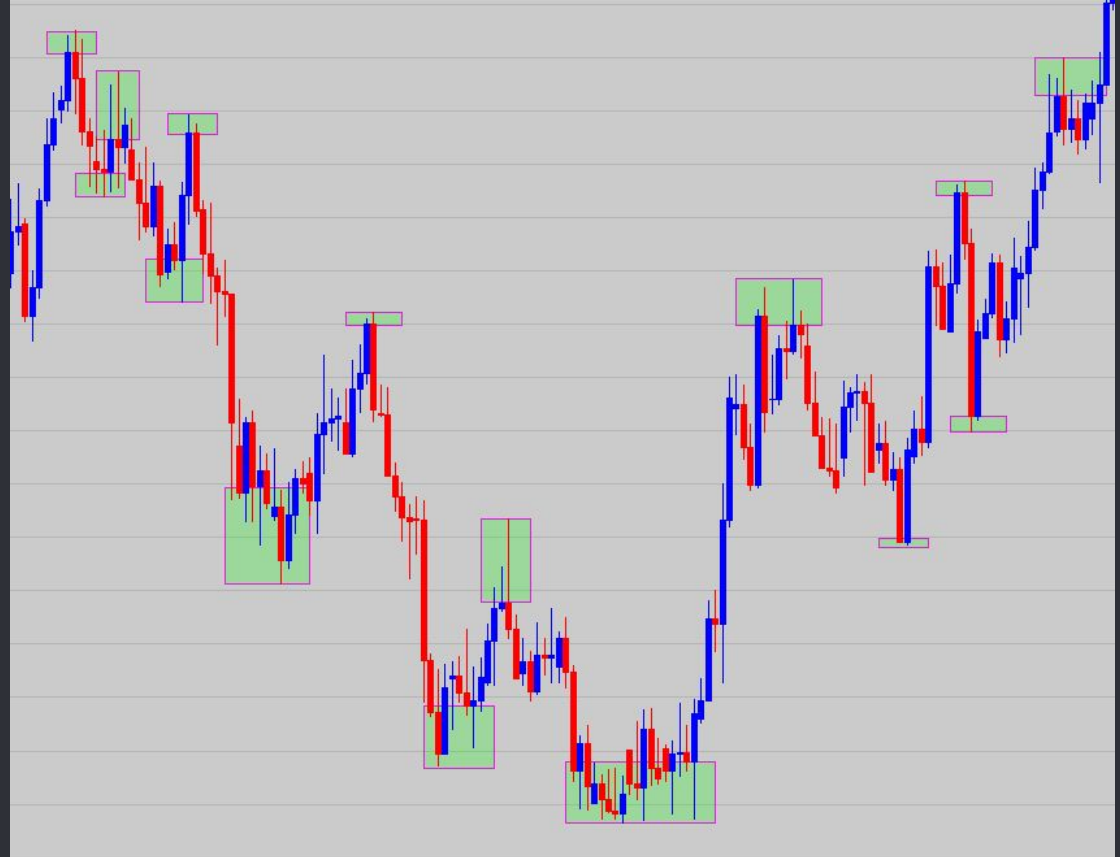
Very important, supports and resistances are zones that start from the end of the candlestick to the end of the wick.

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TECHNICAL ANALYSIS

Market Structure

Example:
Support and Resistance
Zones



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● TECHNICAL ANALYSIS

○ Market Structure

How is a support/resistance created?

Support:

The support is created in 2 parts. The first part is the sellers in the market closing positions and taking their profit. The second part is new buyers coming in the market and opening new fresh positions.

Resistance:

The resistance is created in 2 parts. The first part is the buyers in the market closing positions and taking their profit. The second part is new sellers coming in the market and opening fresh new positions.

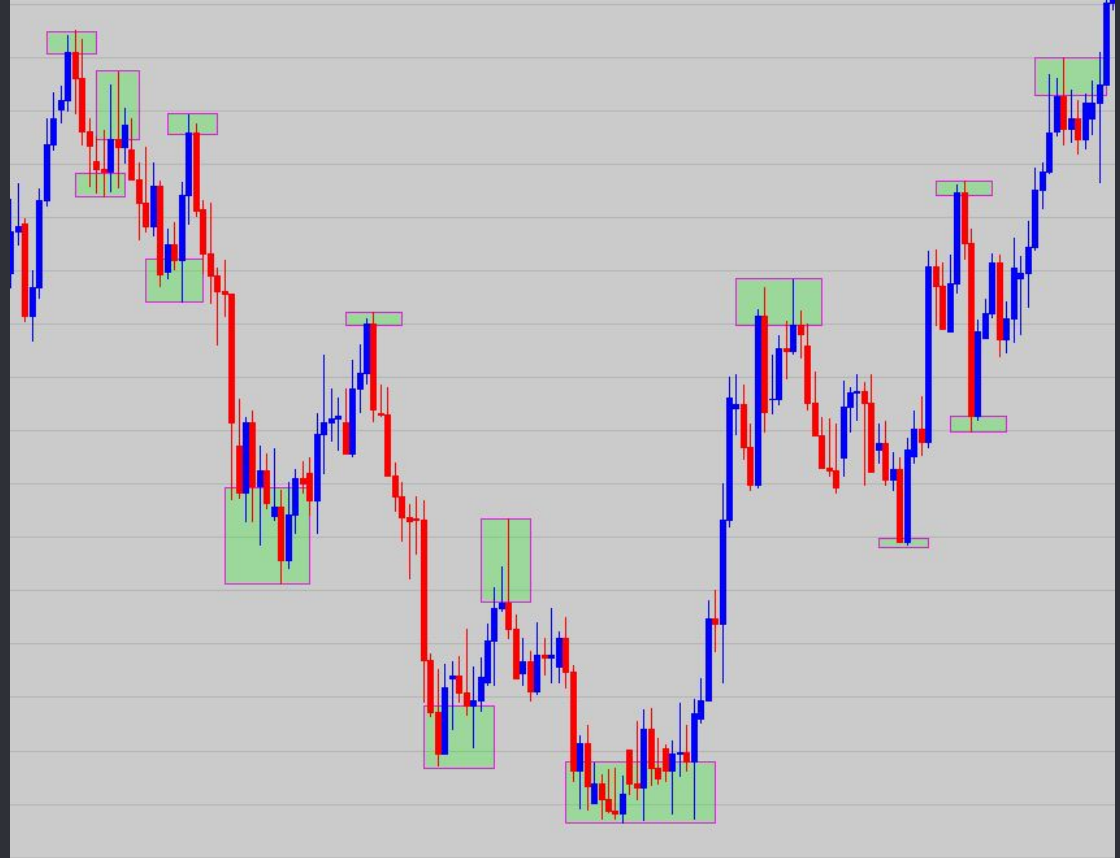
Depending on the market conditions, these 2 parts can happen at the same time or be one after the other. Sellers and Buyers will create the support/resistance at certain specific structural levels in the market, it is not random, there has to be a motivation for someone to close their trade or to open a new one.

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TECHNICAL ANALYSIS

Market Structure

Example:
Support and Resistance
Creation



[illegible]

● TECHNICAL ANALYSIS

○ Market Structure

Accumulation and distribution:

This is the mechanism behind supports and resistances.

Accumulation zone is where traders/institutions are opening/adding positions to the market. They are adding a buy/sell.

Distribution zone is where traders/institutions are closing fully/partially their positions in the market. They are removing a buy/sell.

Now this is very important, the bigger the positions that are injected in the market or removed from the market, the longer the accumulation/distribution period will be. Example, for a big financial institutions who are opening 100 000+ lots, it can take them days/weeks/months to accumulate or distribute their positions. This is why sometimes you have big long supports/resistances and sometimes you have short supports/resistances. Depending on the length and price variation of a support/resistance you can now the size of the institutions positions.

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- TECHNICAL ANALYSIS

APPLE FACTORY

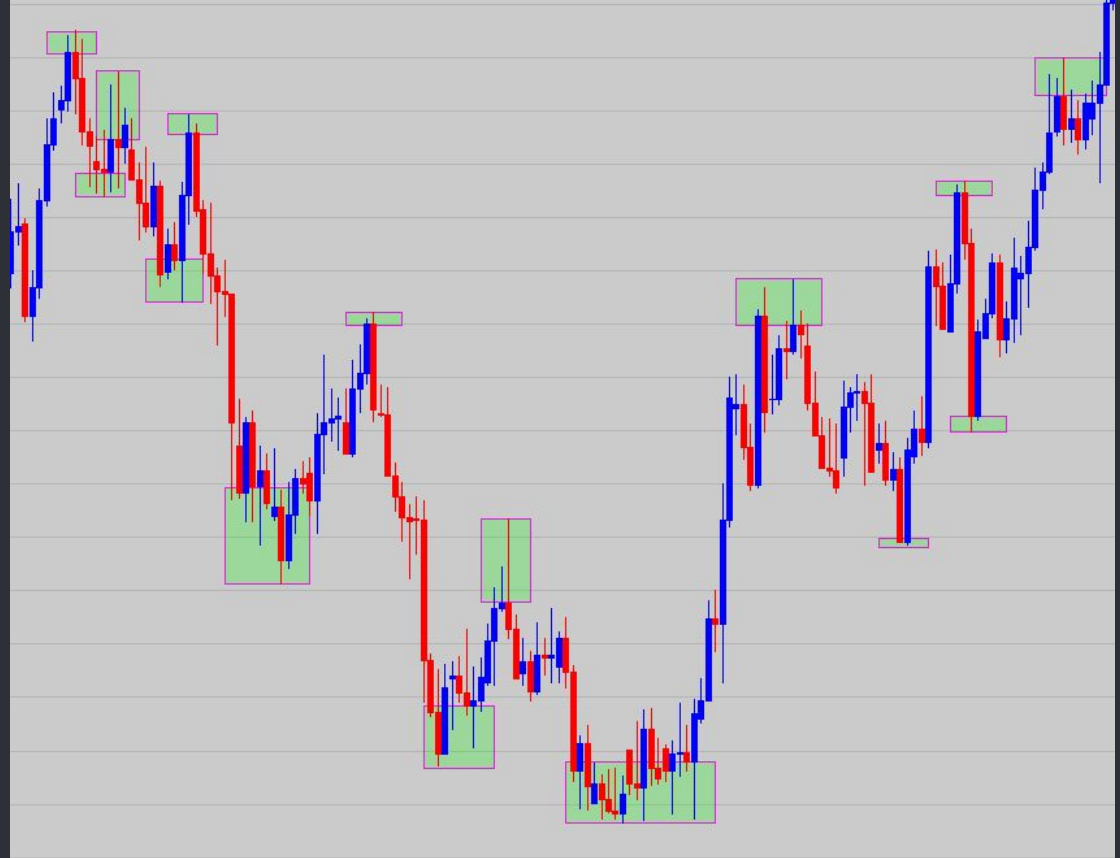


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TECHNICAL ANALYSIS

Market Structure

Example:
Accumulation and
Distribution



[illegible]

● TECHNICAL ANALYSIS

○ Market Structure

Accumulation and distribution:

Large support/resistance have more probability of being a market correction or trend reversal. (*Distribution and Accumulation*) This is why they are longer, because they have both.

Small support/resistance have more probability of being a position adding level for the continuation of the trend. (*Accumulation Only*)

Consolidations are nothing more than large levels of distribution and accumulation, just like the large support/resistance. They are two sides of the same coin.

Warning: Large supports/resistances CAN'T be *Accumulation Only Zones* but SOMETIMES small supports/resistances CAN be *Distribution and Accumulation Zones*.

[illegible]

TECHNICAL ANALYSIS

Market Structure

Example:
Difference between
Large and Small
Support/Resistance

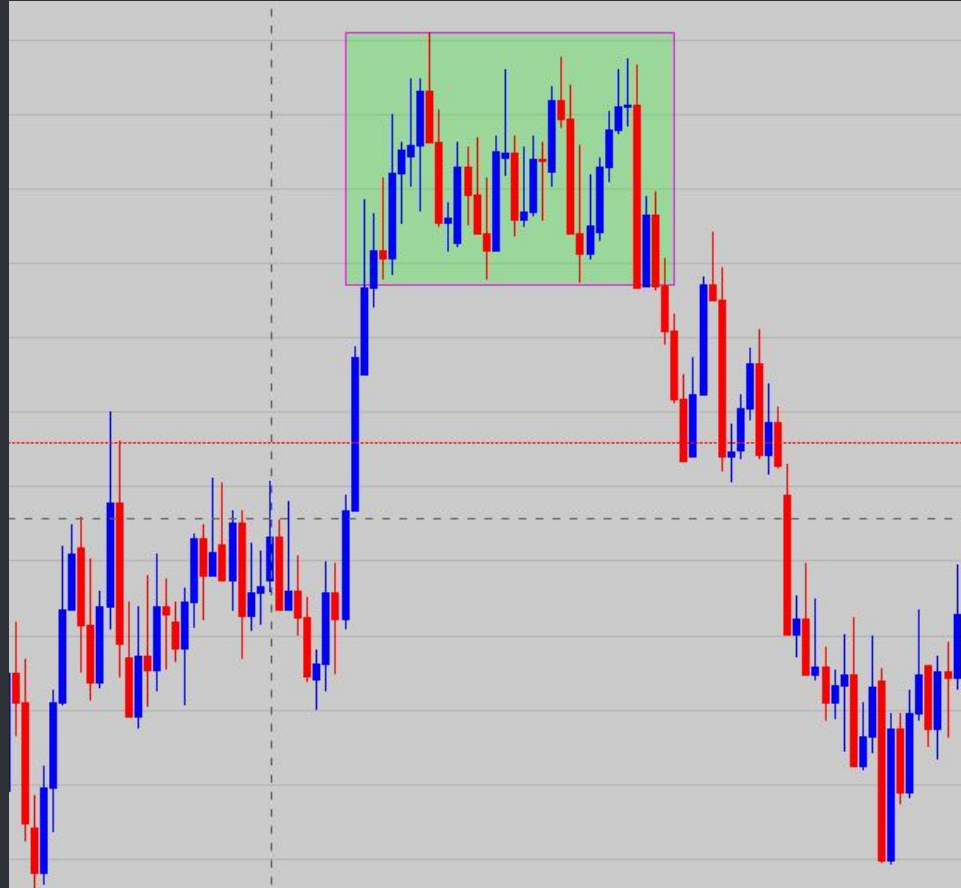


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TECHNICAL ANALYSIS

Market Structure

Example:
Consolidation



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● TECHNICAL ANALYSIS

○ Market Structure

Accumulation and distribution:

Since a distribution can be a correction or a trend reversal, the only way to understand and to predict where the market is going is to look and understand your fundamentals.

You will then be able to understand the motivations and the plan of the financial institutions and you will be able to predict their next move in the market with a high accuracy.

The better the fundamental idea, the better you'll trade knowing whether supports/resistances are reversals or corrections. And the better you'll know in which directions the consolidation are going to break out.

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TECHNICAL ANALYSIS

Market Structure

Example:
Correction
Vs
Trend Reversal



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● TECHNICAL ANALYSIS

○ Market Structure

Key levels (D1, H4):

We are going to highlight the most important support/resistance zones on our charts with key levels.

D1 will be full lines and will be useful to outline our trading area.

H4 will be dotted lines and will be useful to identify obstacles for partial profits/adding positions.

The goal is to touch as many zones as possible, so we have a clear indication of the most important levels on our chart. This will help us understand the market movements.

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TECHNICAL ANALYSIS

Example:
Daily Key Levels

Market Structure



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TECHNICAL ANALYSIS

Market Structure

Example:

H4 Key Levels

+ Previous D1 Key
Levels



[illegible]

● TECHNICAL ANALYSIS

○ Market Structure

Key levels (D1, H4):

Wide Open Space (WOS):

The Wide Open Space is the space between two daily (D1) key levels, they can range from 100-500 pips.

The WOS is your play area so you must understand the borders of the market to be able to make good trades.

Your goal is to always verify that you have enough space, you must measure the distance between the current price and the next daily key level, and make sure you have at least 90 pips of space.

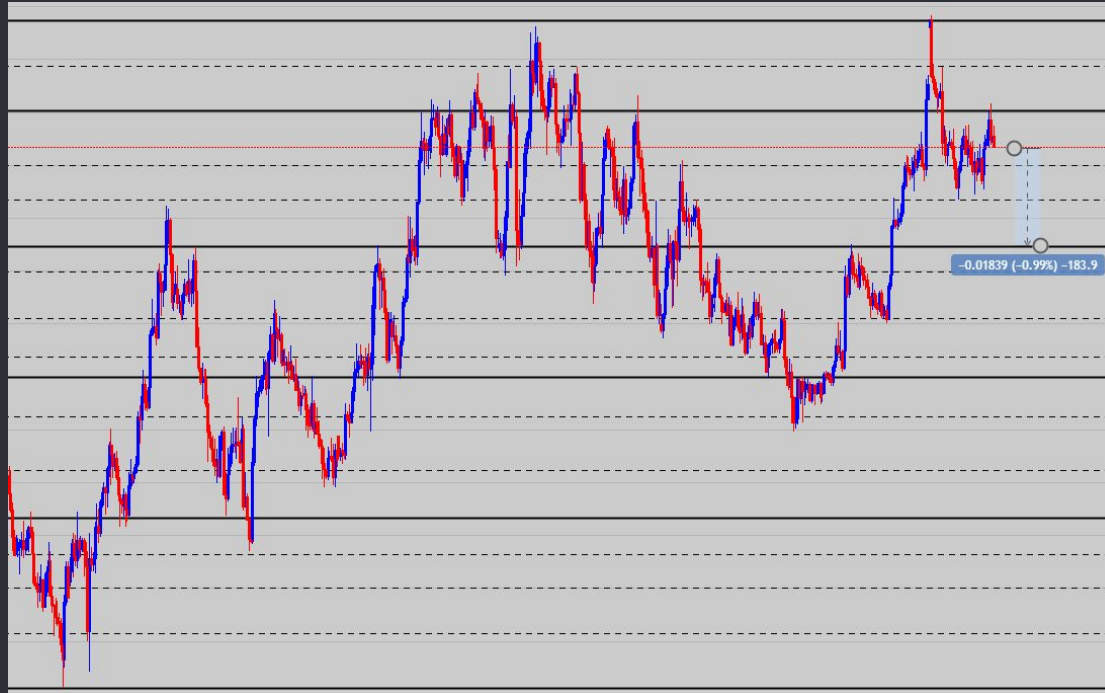
If there's not enough space, you have to wait for the market to break the D1 key level and go to the next WOS, where you will have more space to make your trade.

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TECHNICAL ANALYSIS

Example:
Good example of
enough WOS

Market Structure



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TECHNICAL ANALYSIS

Example:
Bad example of
enough WOS

Market Structure



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● TECHNICAL ANALYSIS

○ Market Structure

Psychological levels:

There are prices in the market that are more important than others, they are called psychological levels and they are based on round numbers. The price must finish by 3 zeros (000) to be considered a psychological level. The more zeros, the stronger the level is.

Since humans are logical creatures, they like to deconstruct the market in symmetrical segments and trade on those levels.

Psychological levels are the cousins of key levels, they are based on the same principle and occupy the same function, which is to determine where the price is going to bounce/reject and help you construct your trade. You will use them as a compliment to your key levels.

Example:

GBP/JPY 130.000

EUR/USD 1.25000

EURAUD 1.65000

USD/JPY 105.000

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● TECHNICAL ANALYSIS

○ Market Trend

Trend Identification in D1, H4, H1

You have to identify the trend of the market on 3 different timeframes to understand the story behind it.

You will look at the last 2 Highs and last 2 Lows to identify your trend properly.

On the D1 timeframe you're looking at the **BIG** Highs and Lows.

On the H4 timeframe you're looking at the **MEDIUM** Highs and Lows.

On the H1 timeframe you're looking at the **SMALL** Highs and Lows.

If you have a Higher High and a Higher Low, you have a **uptrend**.

If you have a Lower High and a Lower Low, you have a **downtrend**.

If you have any other combinaison, example a Higher High and a Lower Low, you have a **consolidation**.



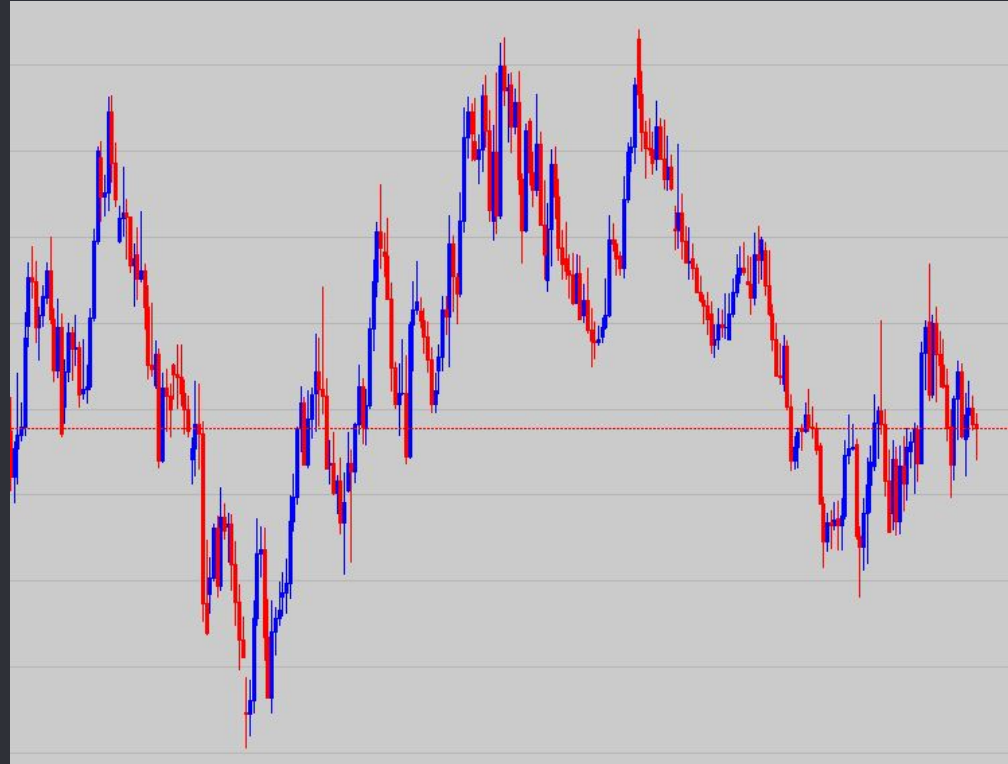
A series of 18 horizontal lines, evenly spaced, spanning the width of the page. These lines are intended for writing or drawing.

TECHNICAL ANALYSIS

Market Trend

Trend Identification in D1, H4, H1

Example:
D1 Trend Identification



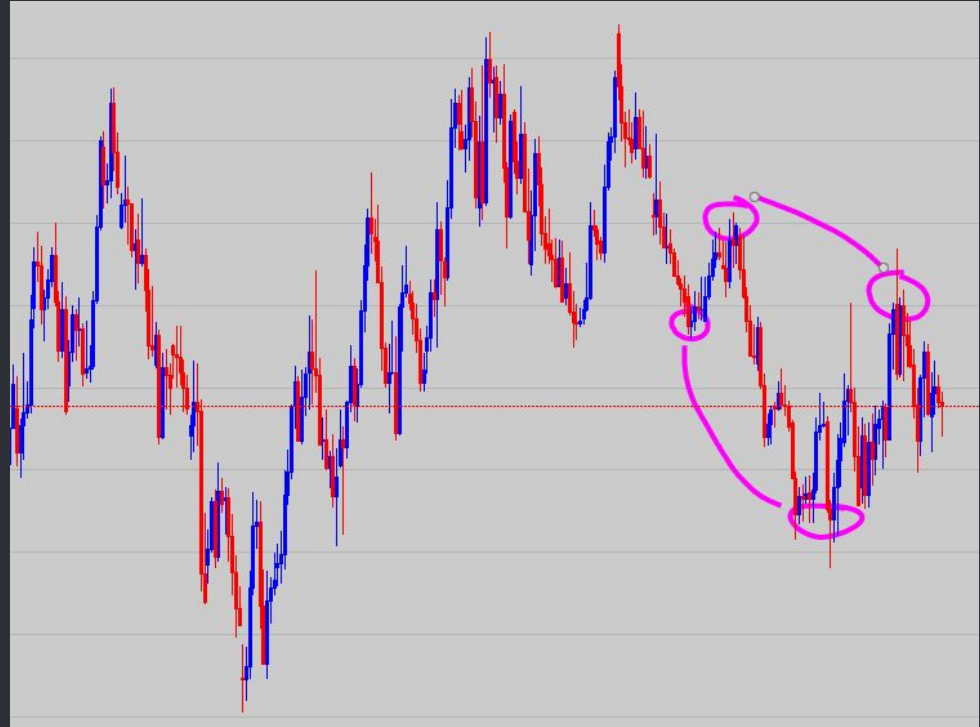
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TECHNICAL ANALYSIS

Market Trend

Trend Identification in D1, H4, H1

Example:
D1 Trend Identification
Downtrend



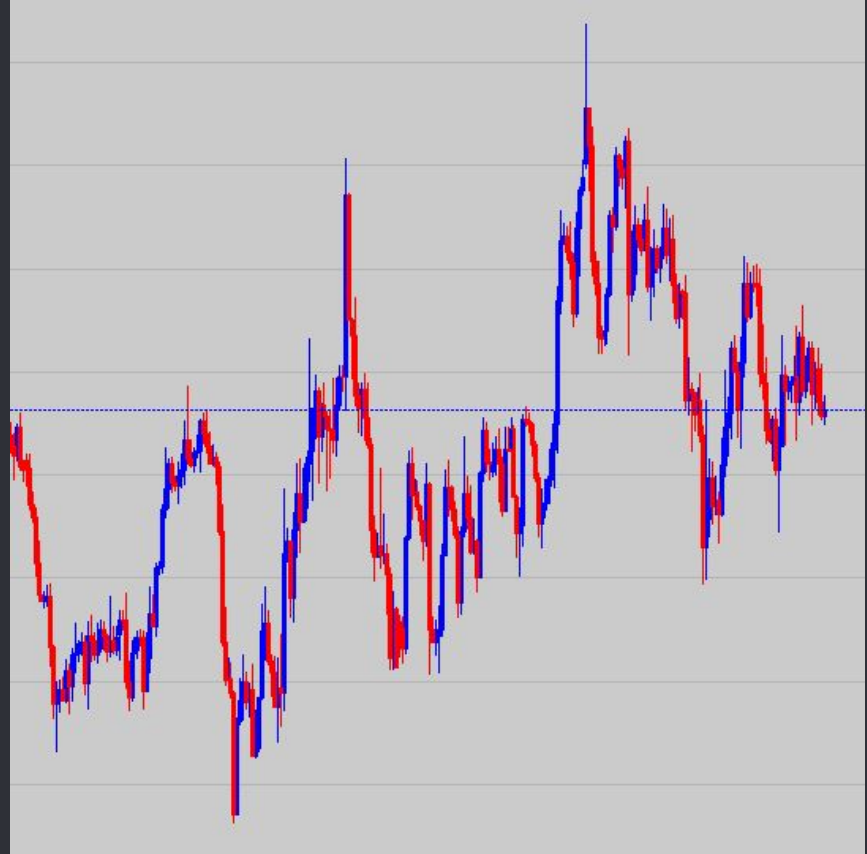
[illegible]

TECHNICAL ANALYSIS

Market Trend

Trend Identification in D1, H4, H1

Example:
H4 Trend Identification



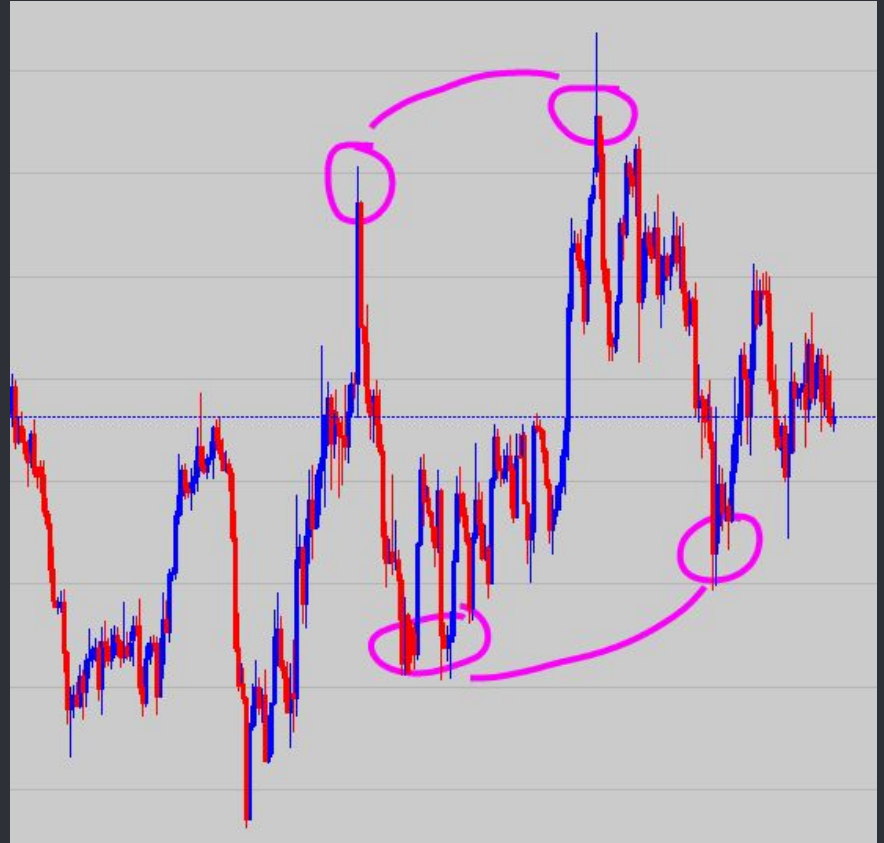
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TECHNICAL ANALYSIS

Market Trend

Trend Identification in D1, H4, H1

Example:
H4 Trend Identification
Uptrend



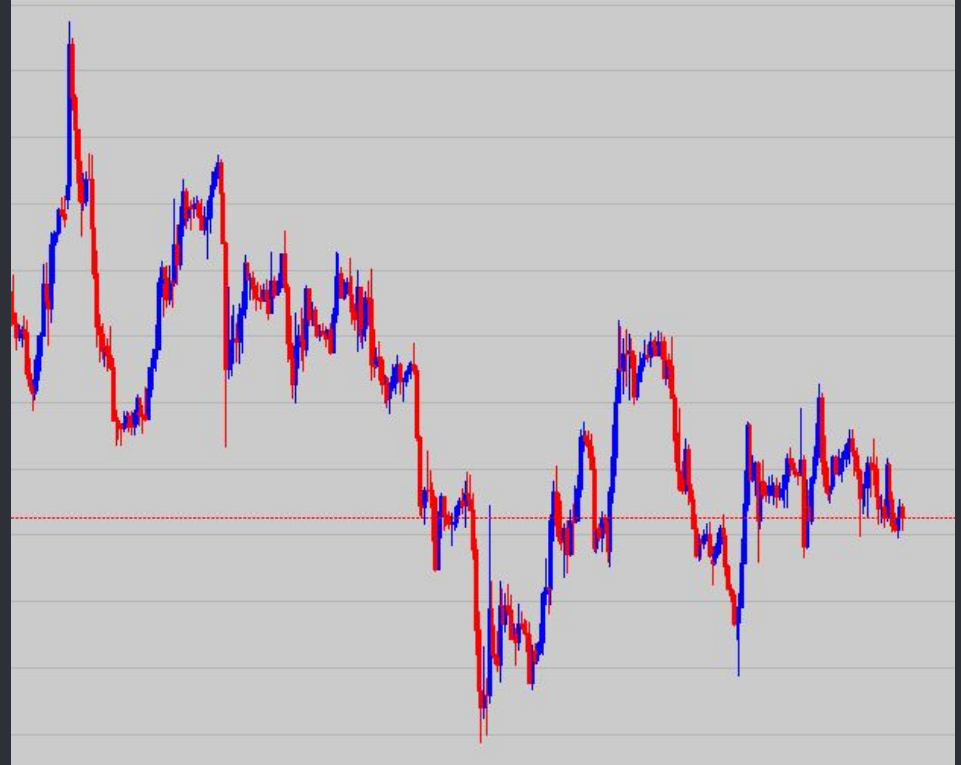
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TECHNICAL ANALYSIS

Market Trend

Trend Identification in D1, H4, H1

Example:
H1 Trend Identification



[illegible]

TECHNICAL ANALYSIS

Market Trend

Trend Identification in D1, H4, H1

Example:
H1 Trend Identification
Consolidation



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● TECHNICAL ANALYSIS

○ Market Trend

Bridge between technical analysis and fundamental analysis

This is extremely important, you will now link your chart analysis with your fundamental ideas.

You have to explain fundamentally the reason behind the trends on our 3 timeframes (D1,H4,H1).

On the **D1** timeframe, you will take all the fundamental information you have amassed in the last **3-12 months** and explain why we are in the trend that was identified.

On the **4H** timeframe, you will take all the fundamental information you have amassed in the last **4-12 weeks** and explain why we are in the trend that was identified.

On the **1H** timeframe, you will take all the fundamental information you have amassed in the last **1-30 days** and explain why we are in the trend that was identified.

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● TECHNICAL ANALYSIS

○ Market Trend

Bridge between technical analysis and fundamental analysis

Now that you have explained and understood the trends identified previously, you have to solve the puzzle and predict the next market move.

How can you solve the puzzle? The market is changing and evolving all the time, which means each scenario is a unique case. However, you can ask yourself the following questions to guide you:

Is there a problem/conflict/negative situation with the currency pair analysed on the D1 timeframe. (Fundamental analysis on D1 trend identification)

If yes, is the problem solved? And if solved, is it temporary or permanently? In which timeframe was it solved. (Correction or Reversal with date of effect)

If not, is there a problem coming up? And is it coming up in the short, medium or long term? What is the importance of this problem? Make the link with your timeframes. (Continuation or Reversal with time perspective)

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● TECHNICAL ANALYSIS

○ Market Trend

Bridge between technical analysis and fundamental analysis

Repeat the same questions for the H4 and H1 timeframes.

You will now use your logic and critical thinking to solve the equation and find out where the market is heading.

Example:

D1 - Downtrend, H4 - Uptrend, H1 - Downtrend

Is there a market problem in my fundamental analysis of the D1 timeframe?

Yes. (explain the problem)

Was this problem solved in H4 or H1?

Was solved in H4, but temporarily. The problem came back the last few days in H1.

Final answer: The H4 uptrend was a correction, but now the D1 downtrend will resume since the problem hasn't been fully solved. The market has no reason to go up, the H1 downtrend is the beginning of the continuation.

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TECHNICAL ANALYSIS

Market Trend

Bridge between technical analysis and fundamental analysis

Example:

D1 - Uptrend, H4 - Uptrend, H1 - Downtrend

Is there a market problem in my fundamental analysis of the D1 timeframe?

No. (explains the uptrend in D1)

Is there a market problem in my fundamental analysis of the H4 timeframe?

No. (explains the uptrend in H4)

Is there a market problem in my fundamental analysis of the H1 timeframe?

Yes. (explain what's the problem)

What is the duration of this problem and its importance in relation to the H4 and D1?

The problem is big, will last for at least a few months and could affect multiple currencies.

Final answer: The H1 downtrend is the beginning of a new trend, the H4 and D1 will follow.

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TECHNICAL ANALYSIS

Market Trend

Bridge between technical analysis and fundamental analysis

Example:

D1 - Downtrend, H4 - Uptrend, H1 - Consolidation

Is there a market problem in my fundamental analysis of the D1 timeframe?

Yes. (explain what's the problem)

Was this problem solved in H4 or H1?

Was solved in H4 permanently.

Is there a market problem in my fundamental analysis of the H1 timeframe?

Yes, something unexpected happened and the previous problem resurfaced.

Final answer: The H1 consolidation is due to financial institutions having to suddenly change their plan due to the unexpected event. They are closing their previous positions and preparing their plan for the future downtrend.

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● TECHNICAL ANALYSIS

○ Market Trend

Creation of the technical idea

Now that you know the direction of the market and you understand exactly why, the next step is to identify the best technical point(s) to enter a position and get in the trade.

How are we going to do that?

With the help of trendlines, counter-trendlines, key level trendlines, channels and counter-channels.

You could in principle enter the trade at any moment without a full technical analysis and have a good accuracy rate since you know the future direction of the market, but of course that is not optimal. We want to construct the best technical idea, to extract a maximum of pips.

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● TECHNICAL ANALYSIS

○ Market Trend

Creation of the technical idea

There are 5 types of trendlines, which are all part of the same family. They will be used exactly the same way and traced in D1, H4 and H1.

What is exactly a trendline?

The trendline is a line that connects highs or lows together, it allows you to predict where the market is more likely to bounce, a bit like a support or resistance. You need to have at least 2 points to trace the trendline, the more the better.

3 Rules to follow for tracing the 5 trendlines:

1. You must draw your trendline on the wicks as much as possible.
2. You must touch as many points as possible in your trajectory, even if it goes a bit against rule #1.
3. Your trendline has to be useful for the current or future price.

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● TECHNICAL ANALYSIS

○ Market Trend

Creation of the technical idea

5 different types of trendlines:

1. Trendline: Line that follows the current timeframe trend.
2. Counter-Trendline: Line that goes the opposite way of the current timeframe trend.
3. Key level Trendline: Line that doesn't follow any trend, but acts as a Support/Resistance. Most of the time will slash through the candlesticks.
4. Channel: Two parallel trendlines who are following the current timeframe trend.
5. Counter-Trend Channel: Two parallel counter-trendlines who are going against the current timeframe trend.

[illegible]

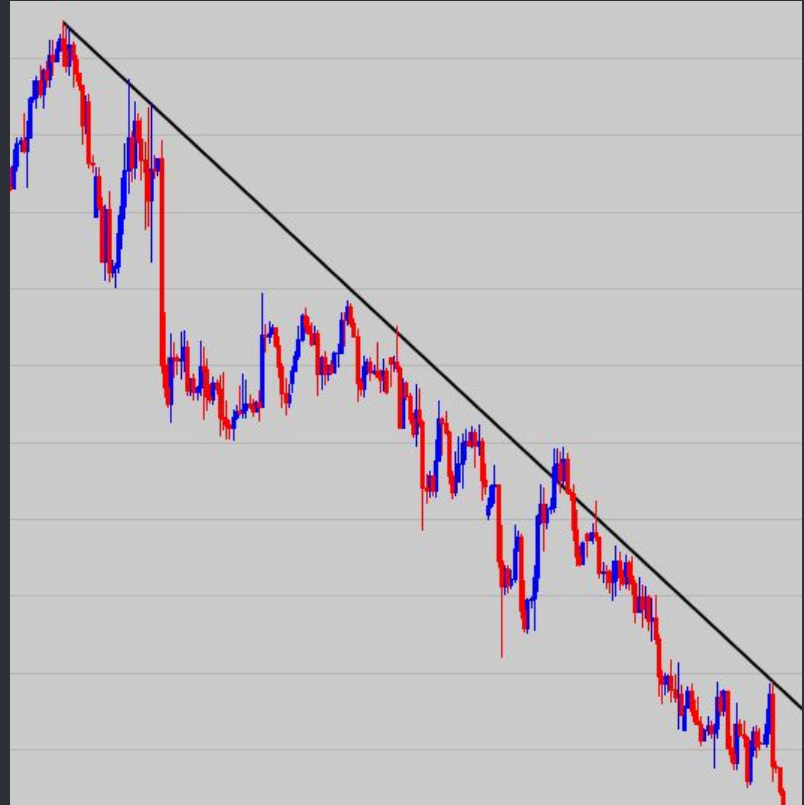
TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

5 different types of trendlines:

Trendline



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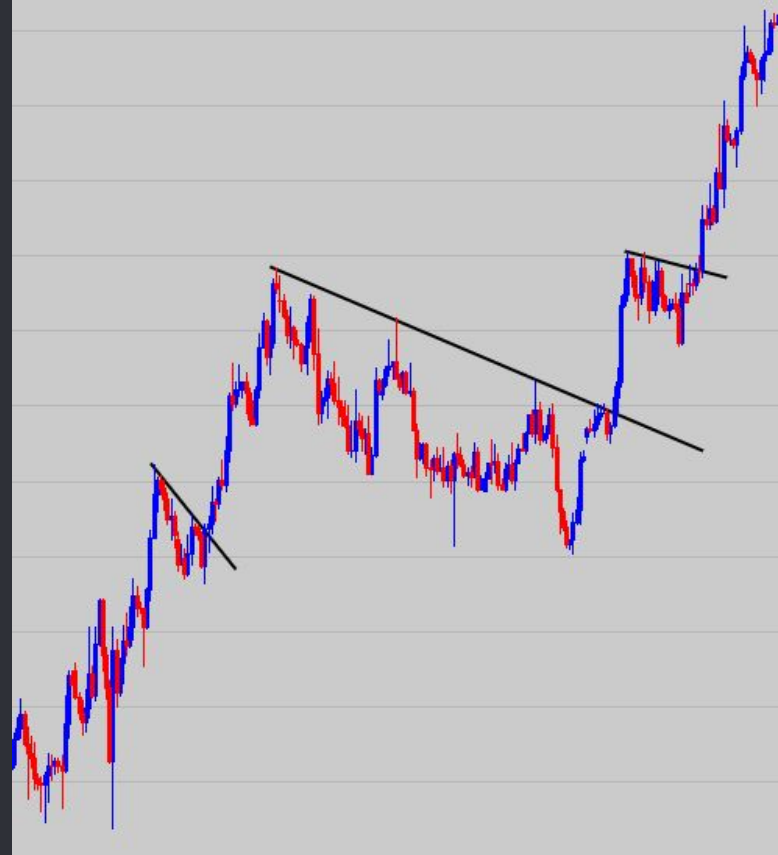
TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

5 different types of trendlines:

Counter-Trendline



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TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

5 different types of trendlines:

Key Level Trendline



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TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

5 different types of trendlines:

Channel



[illegible]

TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

5 different types of trendlines:

Counter-Trend Channel



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TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

Full analysis with trendlines

D1



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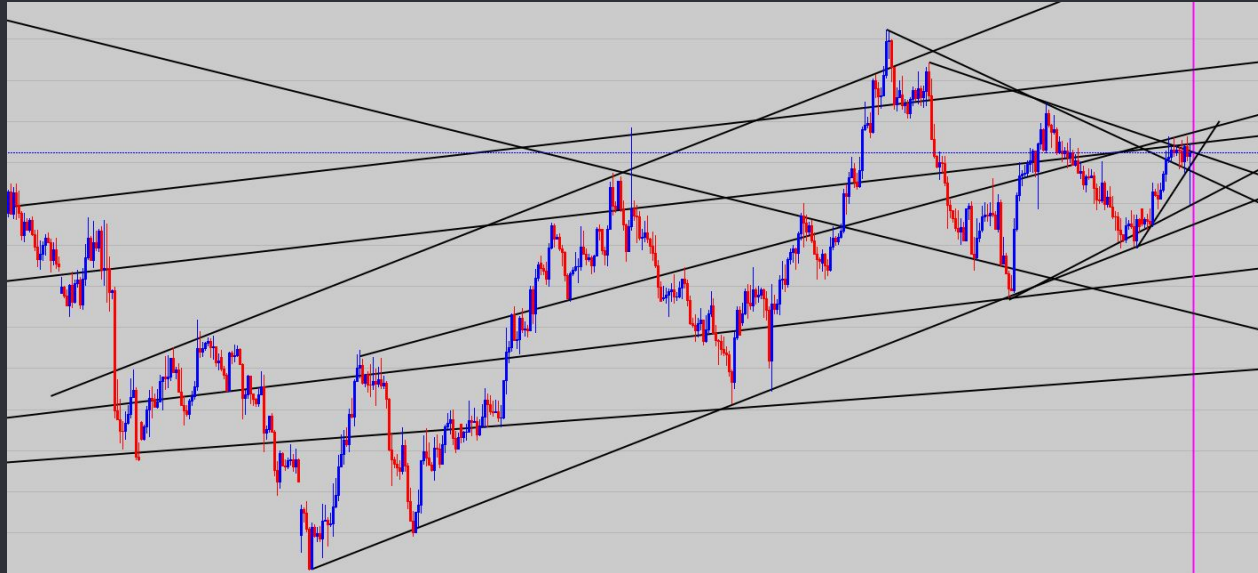
TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

Full analysis with trendlines

H4



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TECHNICAL ANALYSIS

Market Trend

Creation of the technical idea

Full analysis with trendlines

H1



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● TECHNICAL ANALYSIS

○ Market Trend

Creation of the technical idea

Now that you have traced all your trendlines in the three timeframes, how do you find a technical trade and enter it?

Two options:

1. Break-Hook-Go
2. Big Bounce

Break-Hook-Go

Break: When a trendline with/without another element of structure (support, resistance, psychological level, etc) is broken.

Hook: When the price comes back on the broken elements and re-touches it.

Go: When the market confirms us that the price is bouncing back on the element of structure.

You will enter the trade after the GO. If we close below/above the trendline, the BHG is invalid.

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● TECHNICAL ANALYSIS

○ Market Trend

Creation of the technical idea

Now that you have traced all your trendlines in the three timeframes, how do you find a technical trade and enter it?

Two options:

1. Break-Hook-Go
2. Big Bounce

Big Bounce

Big heavy rejection on a confluence of trendlines and elements of structure (support, resistance, psychological level, etc).

You will enter directly without a confirmation, make sure that your fundamental idea is solid and that the level selected for the BB is also solid.

Sniper Entry

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TECHNICAL ANALYSIS

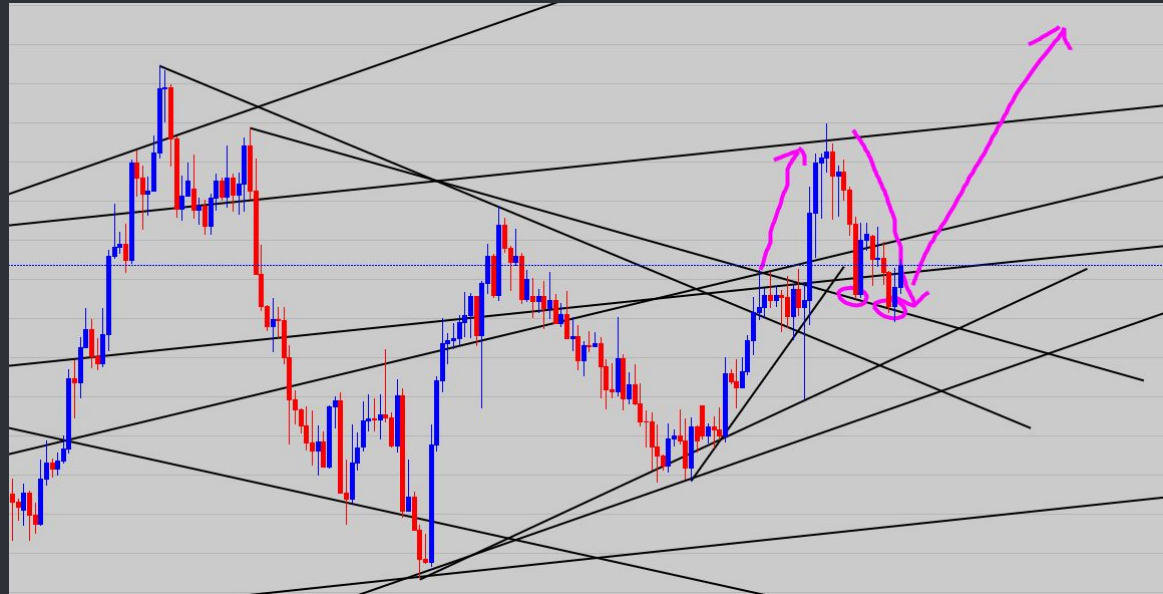
Market Trend

Creation of the technical idea

Full analysis with trendlines

BHG

Before



This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

TECHNICAL ANALYSIS

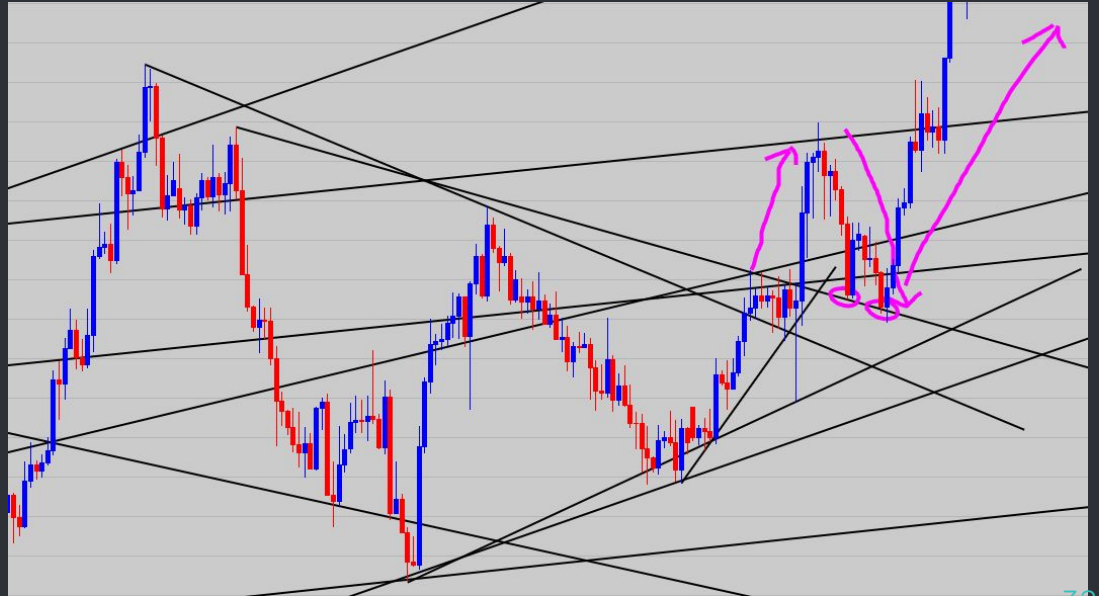
Market Trend

Creation of the technical idea

Full analysis with trendlines

BHG

After



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TECHNICAL ANALYSIS

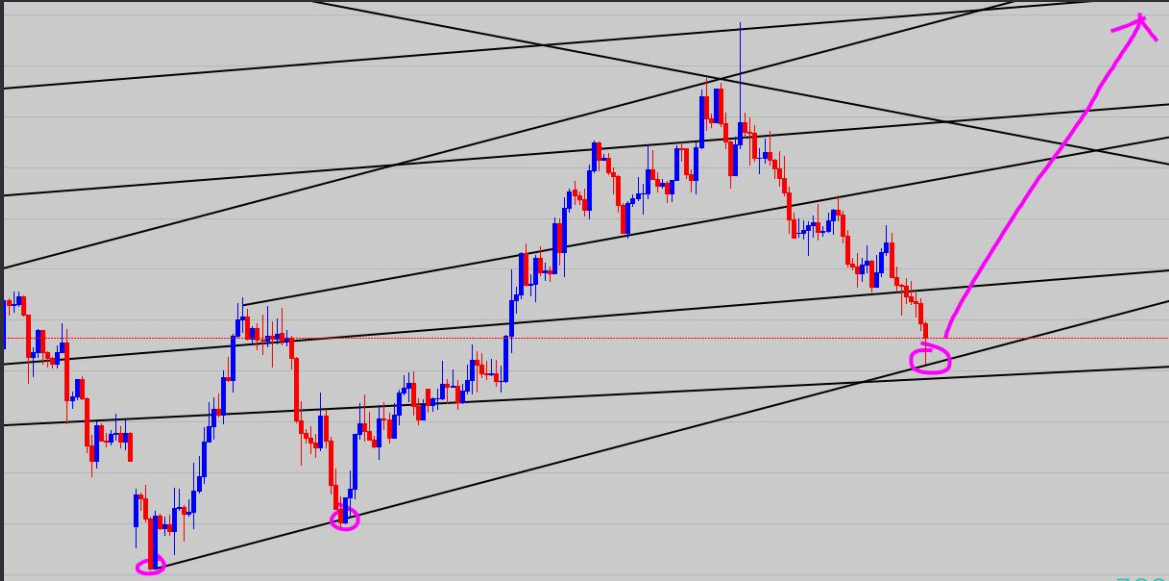
Market Trend

Creation of the technical idea

Full analysis with trendlines

BB

Before



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TECHNICAL ANALYSIS

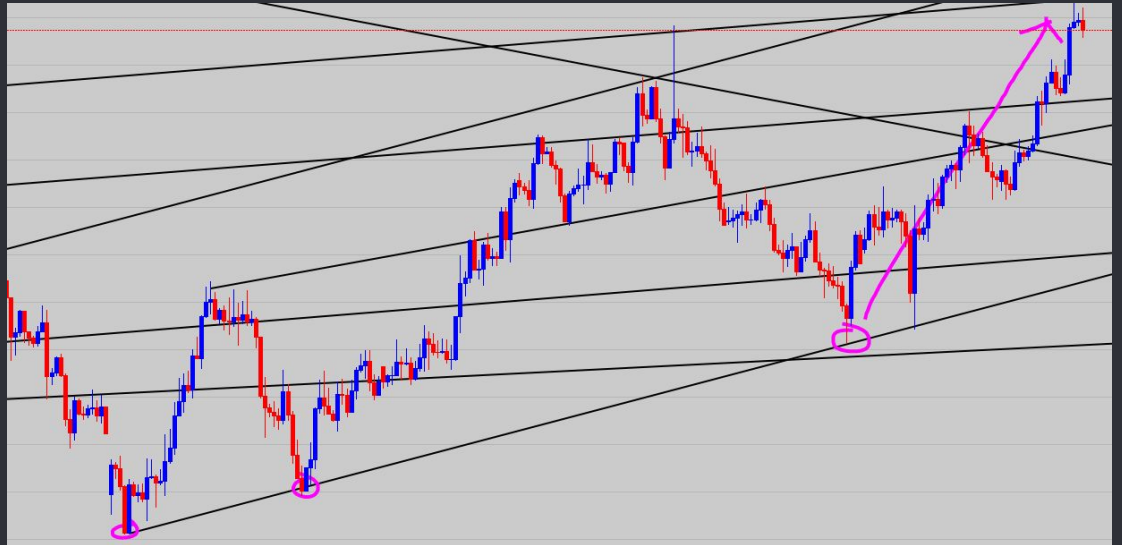
Market Trend

Creation of the technical idea

Full analysis with trendlines

BB

After



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● TECHNICAL ANALYSIS

○ Market Trend

Creation of the technical idea

The BHG will allow you to have more confirmations to enter your trade, but you will miss out on a few pips since you are entering a bit later than a BB.

The BB will allow you to have a perfect entry and maximize your pips, however you do not have any confirmation so you should be more careful and double check your analysis.

You will have to juggle between the two techniques depending on market conditions, your fundamental/technical analysis and your trading experience.

Remember, to be successful at trading you need to manage **fundamentals, technicals, timing, risk and emotions.**

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● TECHNICAL ANALYSIS

○ Market Trend

Chart patterns

Chart pattern is a specific price action that has been formed in specific shape and been repeated multiple times in the market over the years.

They are used for 3 things:

1. Enter a trade (with fundamental and other confirmations)
2. Add positions to your trade
3. Second chance to enter the trade if you missed an opportunity earlier

They will all be traded the same way, which is **Break-Hook-Go**

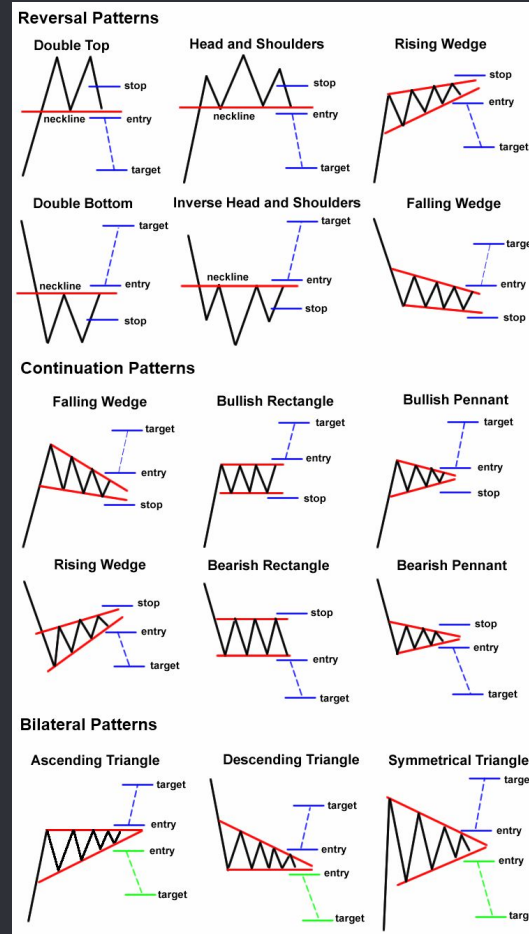
The chart pattern can appear in any timeframe, however sometimes to clearly see the BHG you will have to go in M30 or M10.

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TECHNICAL ANALYSIS

Market Trend

Chart patterns





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● TECHNICAL ANALYSIS

○ Market Trend

Institutional Trend

There's a reason why the market almost always respects trendlines, supports, resistances, etc.

The reason why, is that institutions have people/robots called **Market Makers**.

Their only job is to structure the market in a logical and structured way, not allowing it to become random and chaotic. They are the architects and engineers of the market.

The market might look random at first glance, but it's always structured and organized, nothing is left to chance really, there is too much money involved.

Knowing this, from time to time when institutions have a specific plan/projection that they want to realise, they will contact their market makers and have them design and create what I call an **Institutional Trend**.

They happen around 20% of the time on the market, but when we identify them we can profit from them.

[illegible]

● TECHNICAL ANALYSIS

○ Market Trend

Institutional Trend

There are 5 rules to determine whether we are looking at an institutional trend:

1. The trend (channel) must be represented in H4 or D1.
2. The angle of the trend must be around 45 degrees, it must be sustainable.
3. The trend must be a clear uptrend or downtrend, HH HL or LH LL.
4. You must prove that the heartline exists.
5. You must be able to count the elliott waves.

[illegible]

TECHNICAL ANALYSIS

Market Trend

Institutional Trend

1- The trend (channel) must be represented in H4 or D1.



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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

2- The angle of the trend must be around 45 degrees, it must be sustainable.



[illegible]

TECHNICAL ANALYSIS

Market Trend

Institutional Trend

3- The trend must be a clear uptrend or downtrend, HH HL or LH LL.



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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

4- You must prove that the heartline exists.



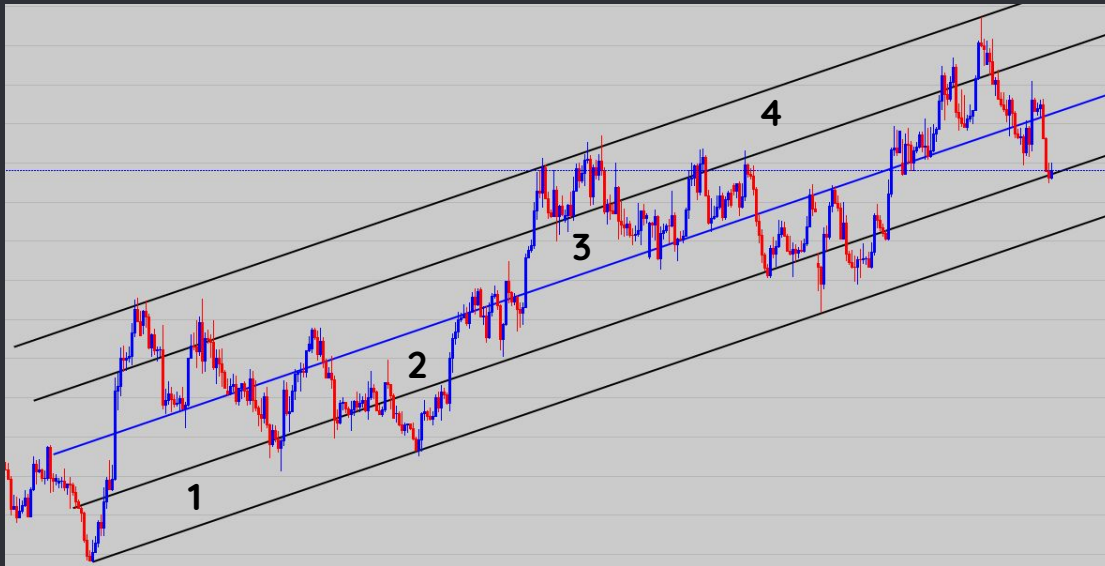


TECHNICAL ANALYSIS

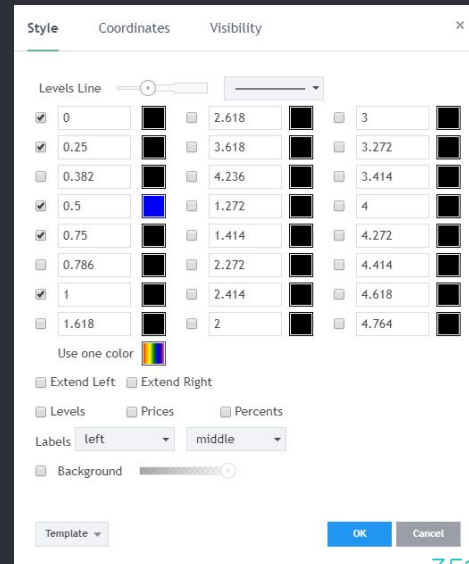
Market Trend

Institutional Trend

4- You must prove that the heartline exists.



Fib Channel



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● TECHNICAL ANALYSIS

○ Market Trend

Institutional Trend

4- You must prove that the heartline exists.

Zone #1 is where the movement begins. Will be at the bottom in an uptrend and at the top in a downtrend.

Zone #4 is where the movement ends and the correction begins.

When the market breaks the heartline in the **DIRECTION** of the current trend, we have 85% chance to reach the end of zone 4.

Market makers and robots are behind this structured market, nothing is left to chance.

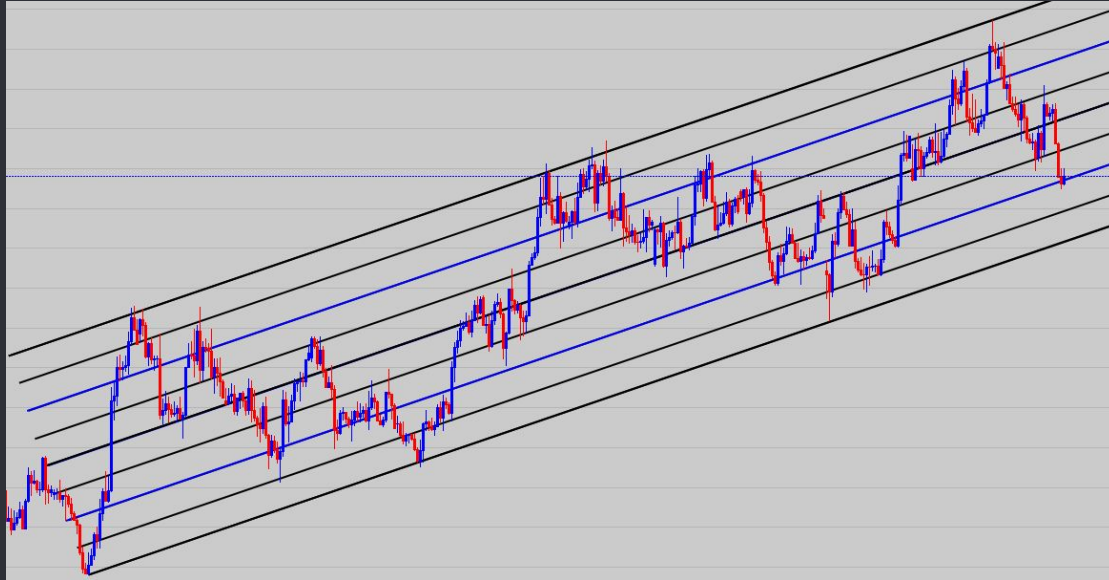
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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

4- You must prove that the heartline exists.



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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

4- You must prove that the heartline exists.



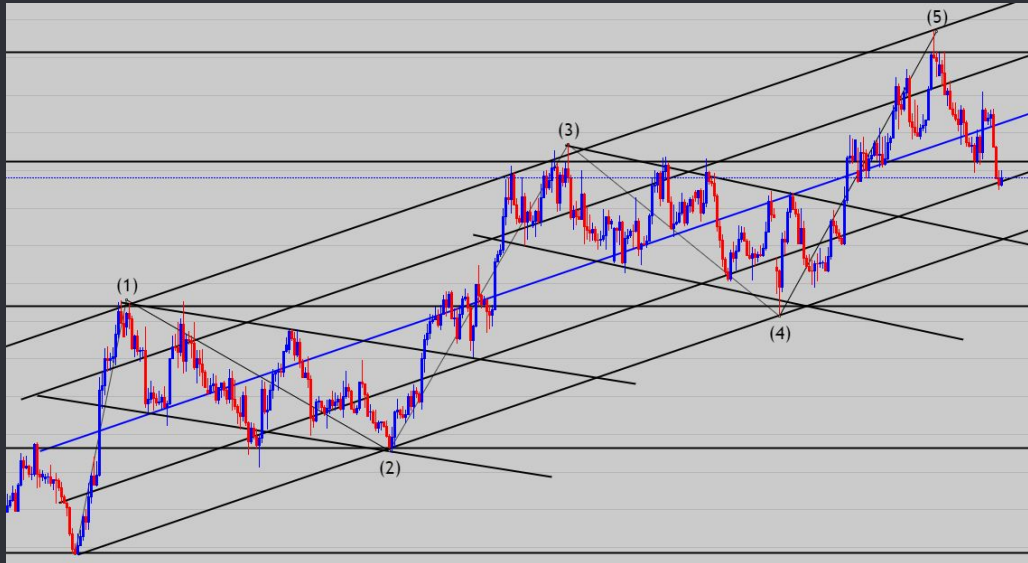
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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

5- You must be able to count the elliott waves.



[illegible]

● TECHNICAL ANALYSIS

○ Market Trend

Institutional Trend

5- You must be able to count the Elliott waves.

Impulsion waves: 1-3-5

Correction waves: 2-4

5 waves in total but could extend to 7 or 9 occasionally

3 rules to follow:

1. Wave #2 cannot be lower/higher than the beginning of wave #1
2. Wave #3 cannot be the smallest of the impulsion waves
3. Wave #4 cannot come lower/higher than the end of wave #1

Elliott waves are a way to synchronize the charts of financial institutions. It's a global standard.

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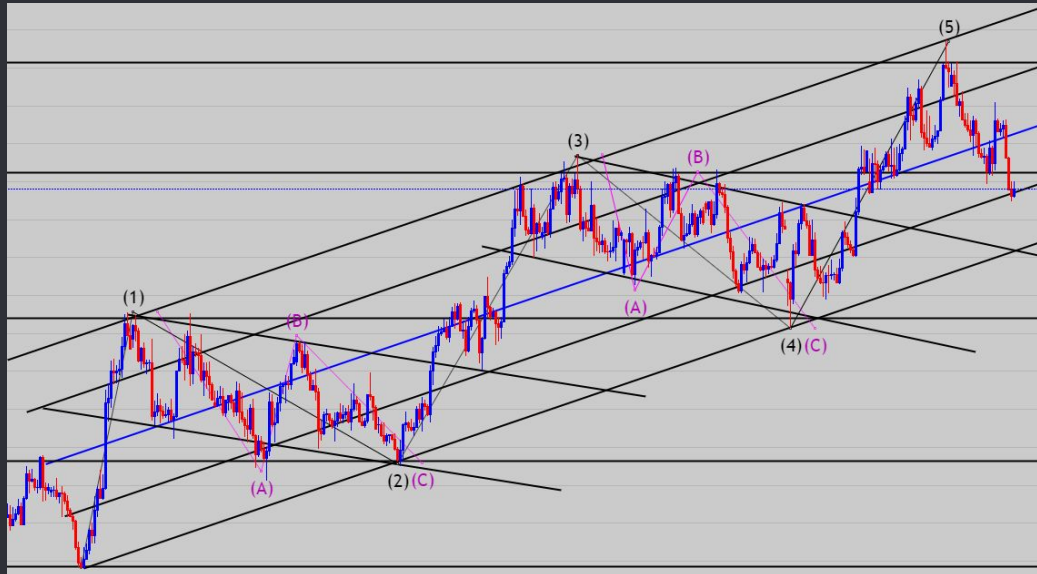
TECHNICAL ANALYSIS

Market Trend

Institutional Trend

5- You must be able to count the elliott waves.

ABC Correction Wave



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● TECHNICAL ANALYSIS

○ Market Trend

Institutional Trend

What happens if the institutional trend doesn't follow every rule perfectly?

It becomes a **structured channel**, the in-between the channel and institutional trend.

The 4 zones will not be necessary respected, the 85% heartline rule will not be applied and there won't be any Elliott waves. However the market is still very structured and more previsible than a regular channel.

What can you trade in an institutional trend?

Wave 2

B-C Wave of Wave 3

Wave 4

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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

3 Trades
7 Positions
3054 Pips
45 Days



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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

Channel vs Institutional Trend



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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

Example from start



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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

Example from start



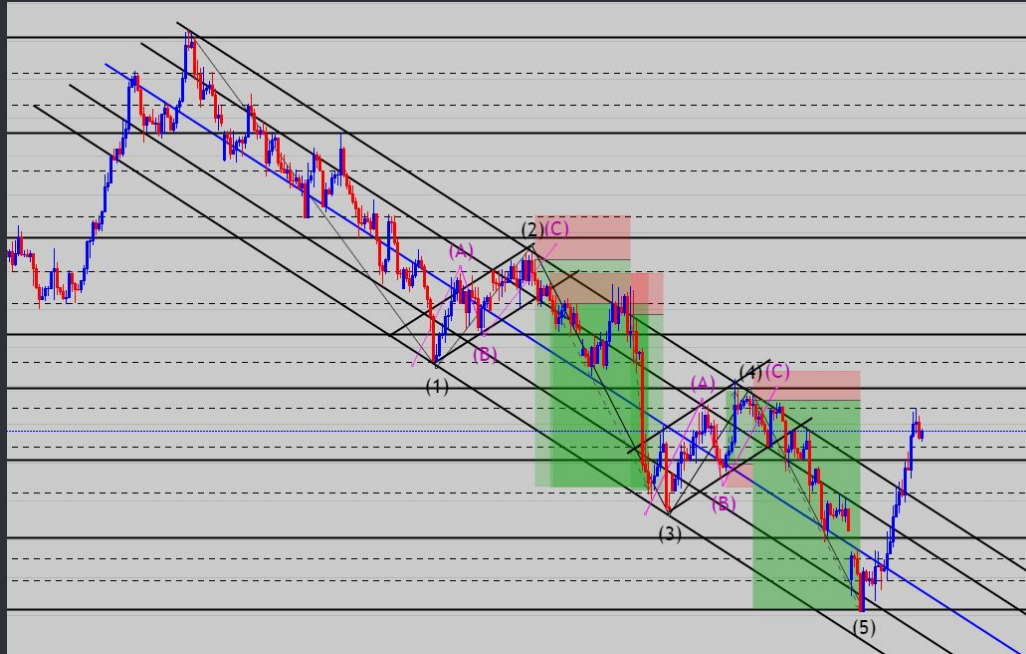
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TECHNICAL ANALYSIS

Market Trend

Institutional Trend

3 Trades
5 Positions
2259 Pips
26 Days



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● TECHNICAL ANALYSIS

○ Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Now that we have our entry point to make our trade, we need to **confirm** it and determine where we will put our **Stop Loss** and **Take profit**.

We will always choose our SL and TP with Fibonacci and structure confluence.

There is always two types of movement in the market:

Impulsive Leg: Will create a **Higher High** or a **Lower Low** (pushing the price)

Corrective Leg: Will **NOT** create a **Higher High** or a **Lower Low** (correcting the price)

In order to use our fibonacci tool correctly, we need to find the last impulsive leg of the movement. Then, we measure it and will give us all the proportions to setup our trade properly.

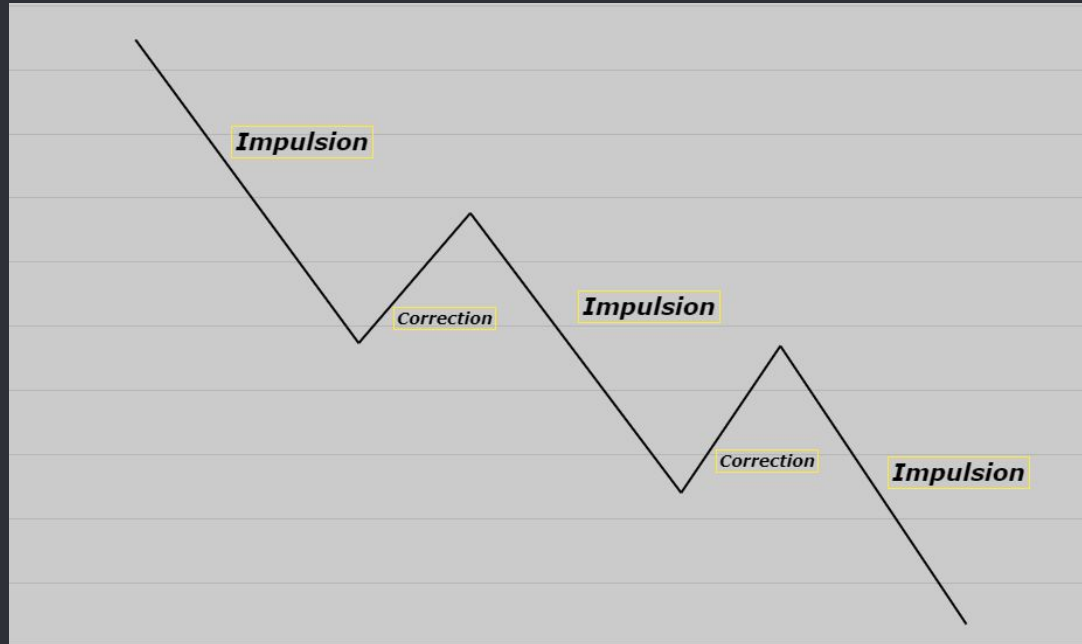
Very important: Fibonacci do not tell us if the market will go up or down, you should already know that before using it. It will just confirm our position and place our SL TP.

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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

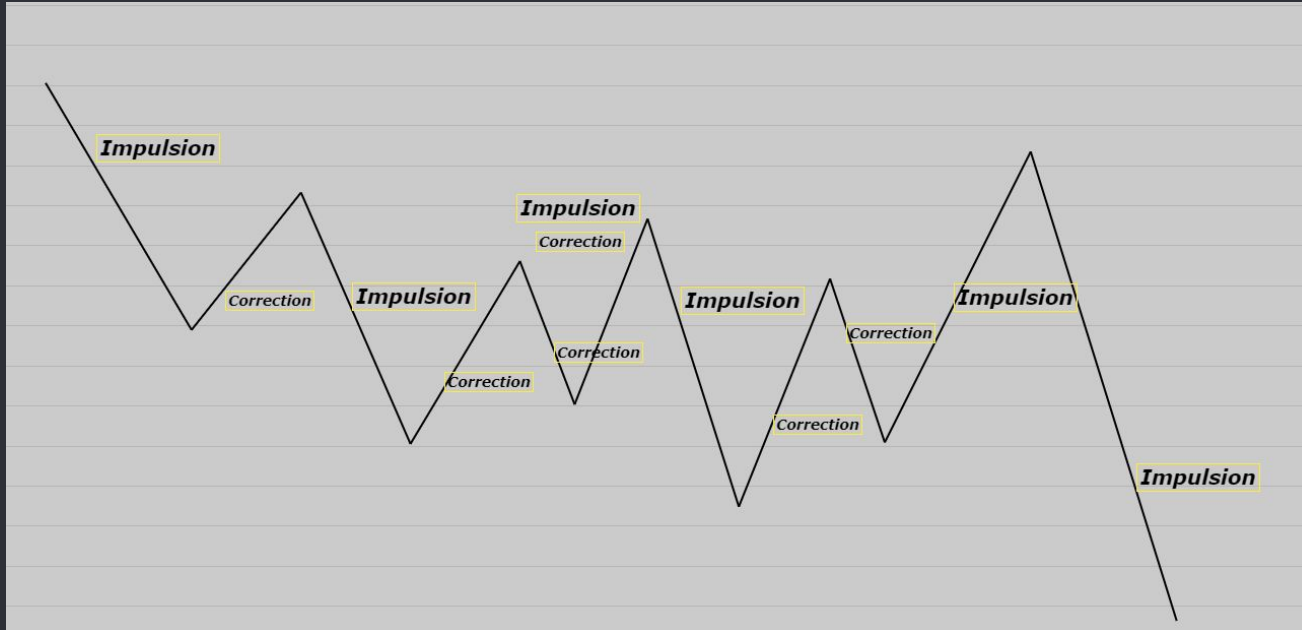


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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

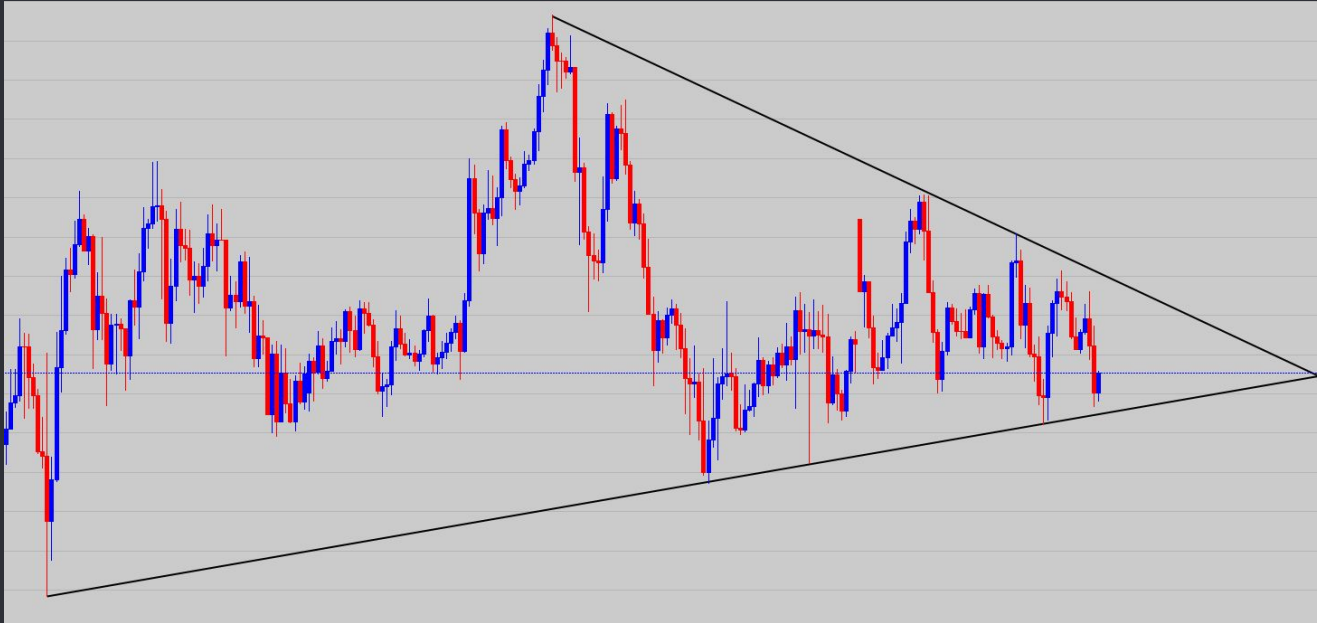


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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)



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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)



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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)



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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Once you have found the last impulsive leg, you trace your fib in the direction of the movement from wick to wick

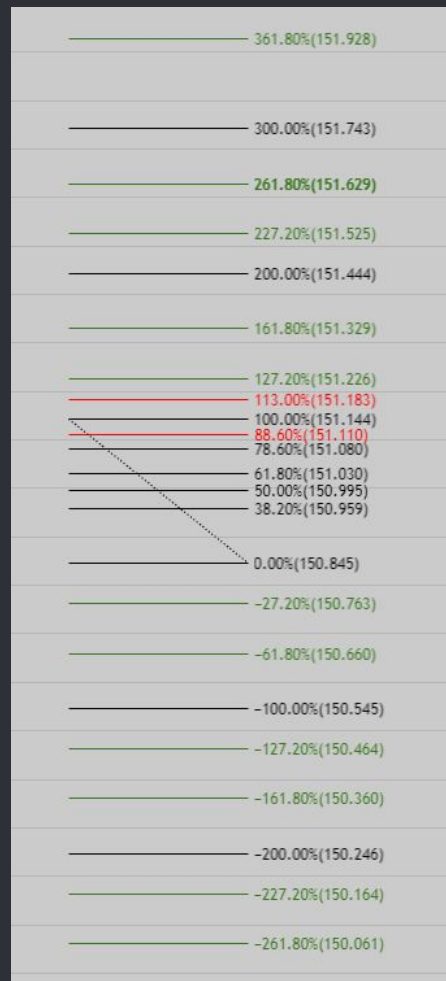


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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement
and extension
(Impulsion and correction legs)





A series of 18 horizontal lines, evenly spaced, spanning the width of the page. These lines are intended for writing or drawing.

TECHNICAL ANALYSIS

Fibonacci

Levels of retracement
and extension
(Impulsion and correction legs)

Fib Retracement Settings

Fib Retracement

StyleCoordinatesVisibility

☒ Trend Line

.....

Levels Line

☒ 0

☒ 0.382

☒ 0.618

☒ 1

☒ 2.618

☒ 1.13

☒ 2.618

☒ -0.272

☒ -1

☒ -0.618

☒ -1.618

☒ 3.618

☒ 3

☒ 0.5

☒ 0.786

☒ 1.618

☒ 1.272

☒ -2.618

☒ 2.272

☒ 0.886

☒ 2

☒ -1.272

☒ -2

☒ -2.272

Use One Color

☐ Background

Template

Cancel

Ok

☐ Background

☐ Reverse

☒ Prices

☒ Levels

Percents

Labels

Right

Middle

☐ Fib levels based on log scale

Template

Cancel

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● TECHNICAL ANALYSIS

○ Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Black Numbers: **Retracement** Levels (Enter Position BHG or BB) (Between 0-100%)

Green Numbers: **Extension** Levels (Take Profit)

Red Numbers: **Retracement and Extension** Levels (Stop Loss)

Black Numbers: Retracement Levels (Enter Position BHG or BB):

38.2%: Used for BHG ONLY, you should expect the hook at this level.

50.0%: Hybrid level, can be used for BHG or BB. Psychological level.

61.8%: Big level of retracement, you will find your BB entry at this level.

78.6%: Used for MEGA Big Bounce, Institutional level.

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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Black Numbers: **Retracement** Levels (Enter Position BHG or BB) (Between 0-100%)

Green Numbers: **Extension** Levels (Take Profit)

Red Numbers: **Retracement and Extension** Levels (Stop Loss)

Red Numbers: Retracement and Extension Levels (Stop Loss):

88.6% and 113.0%: Both will be used for the Stop Loss, depending on the trade setup and your entry point you will choose one or the other.

Look at your elements of structure (confluence) and make sure you have enough space for your SL.

As a **general guideline**, when you enter on fib levels between 38.2% and 61.8% you will choose 88.6% and when you enter on fib levels between 61.8% and 78.6% you will choose 113%.

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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Black Numbers: **Retracement** Levels (Enter Position BHG or BB) (Between 0-100%)

Green Numbers: **Extension** Levels (Take Profit)

Red Numbers: **Retracement and Extension** Levels (Stop Loss)

Green Numbers: Extension Levels (Take Profit):

-27.2% or 127.2% -127.2% or 227.2% -227.2% or 327.2%

-61.8% or 161.8% -161.8% or 261.8% -261.8% or 361.8%

-100% or 200% -200% or 300%

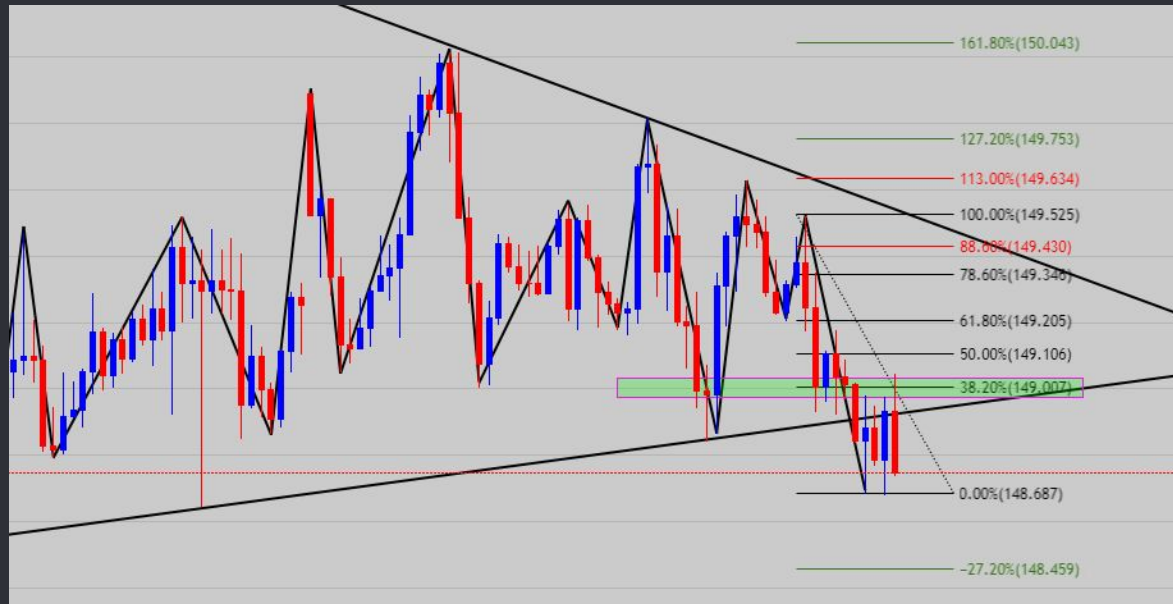
Will all be used the **same way**, to place your take profit. You will choose a level according to the elements of structure (confluence) and the size of your fundamental idea. Do not hesitate to take **Partial Take Profit** on these levels.

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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

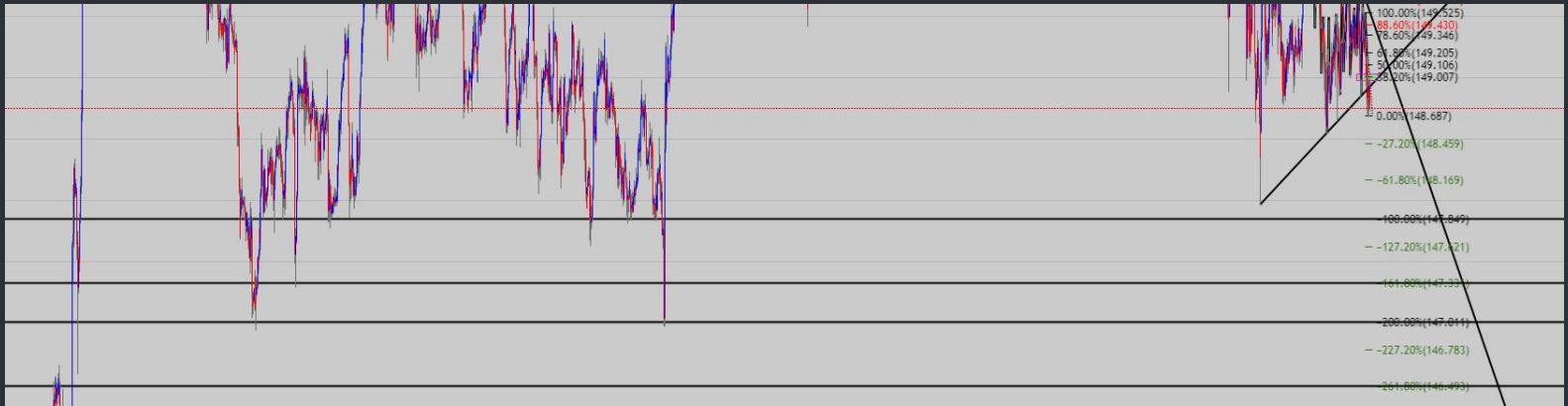


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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

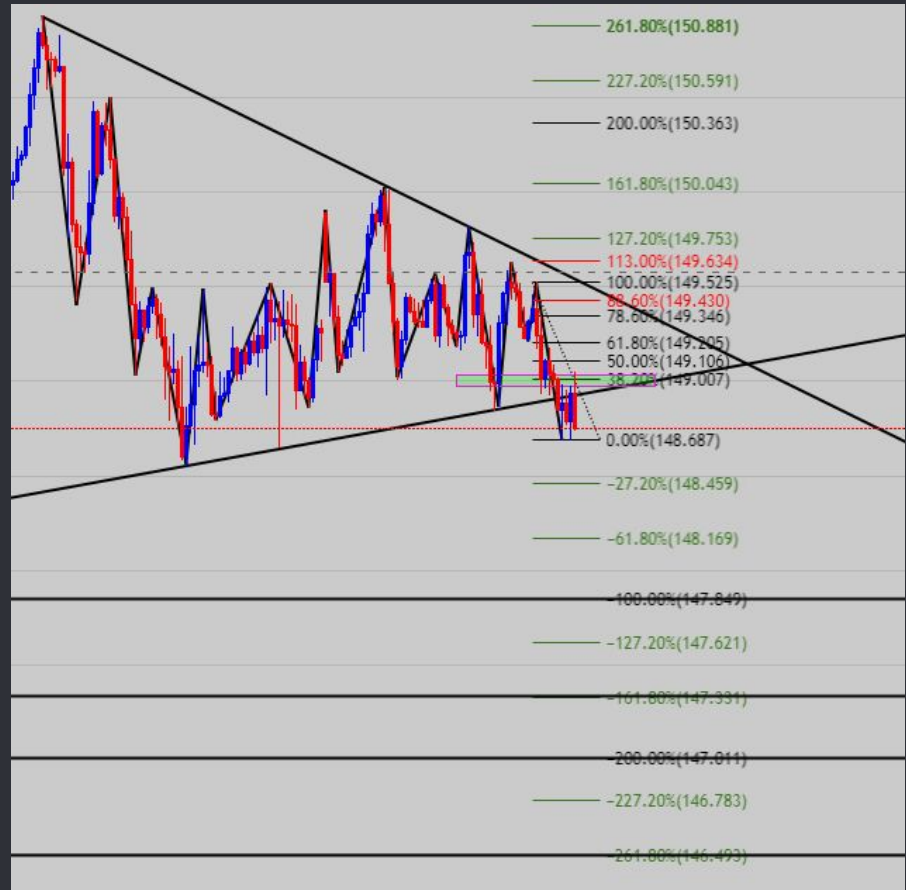


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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement
and extension
(Impulsion and correction legs)



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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement
and extension
(Impulsion and correction legs)



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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement
and extension
(Impulsion and correction legs)

First Obstacle
Partial Take Profit if you want



[illegible]

TECHNICAL ANALYSIS

Fibonacci

Levels of retracement
and extension
(Impulsion and correction legs)

Second Obstacle
Partial Take Profit if you want



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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement
and extension
(Impulsion and correction legs)

221.9 pips
15h



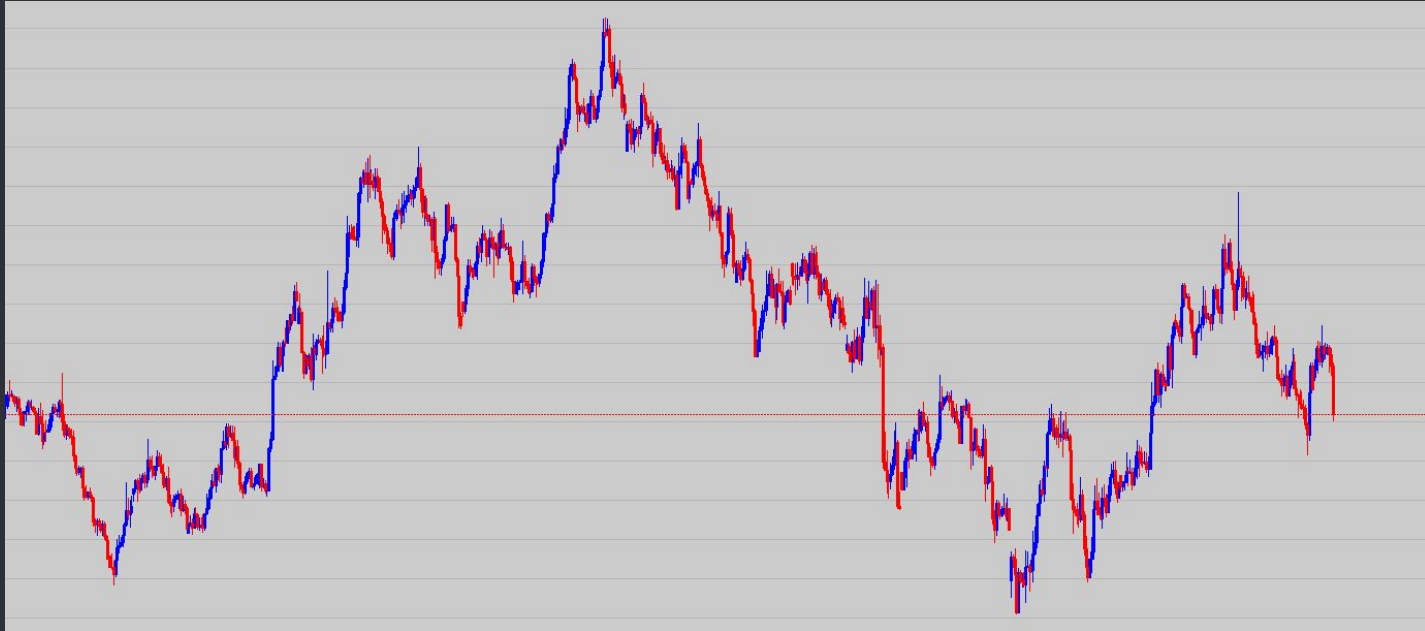
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TECHNICAL ANALYSIS

Fibonacci

Naked
Chart

Levels of retracement and extension (Impulsion and correction legs)



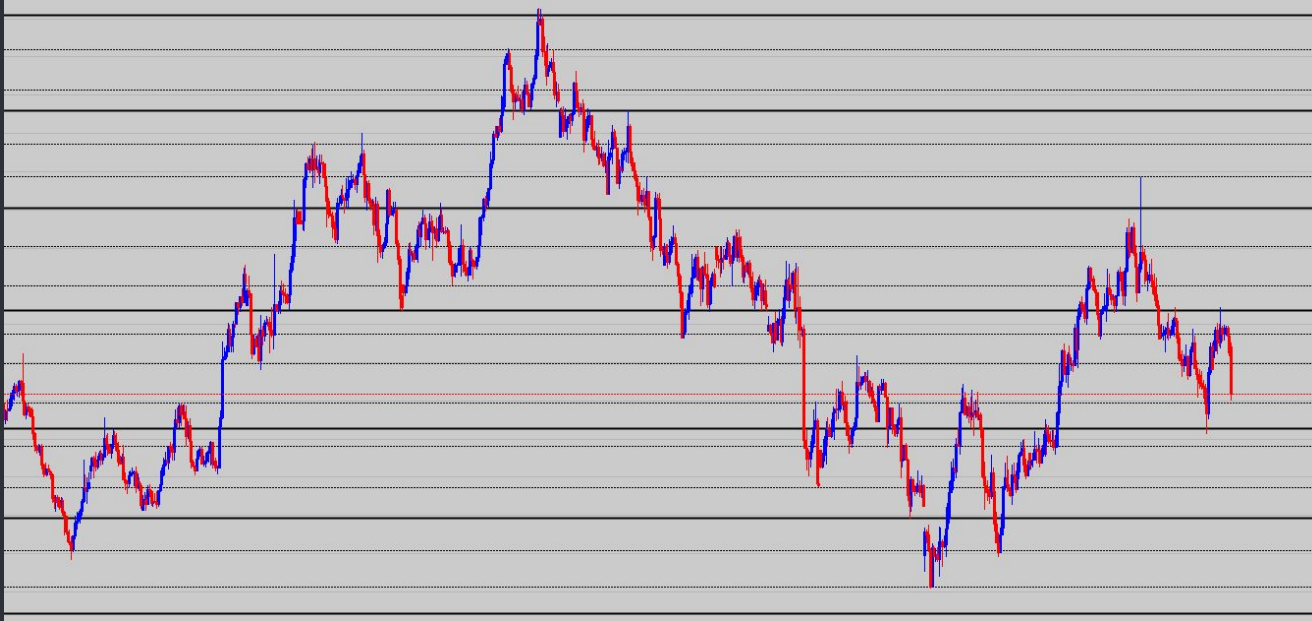
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TECHNICAL ANALYSIS

Fibonacci

D1 & H4
Key Levels

Levels of retracement and extension (Impulsion and correction legs)



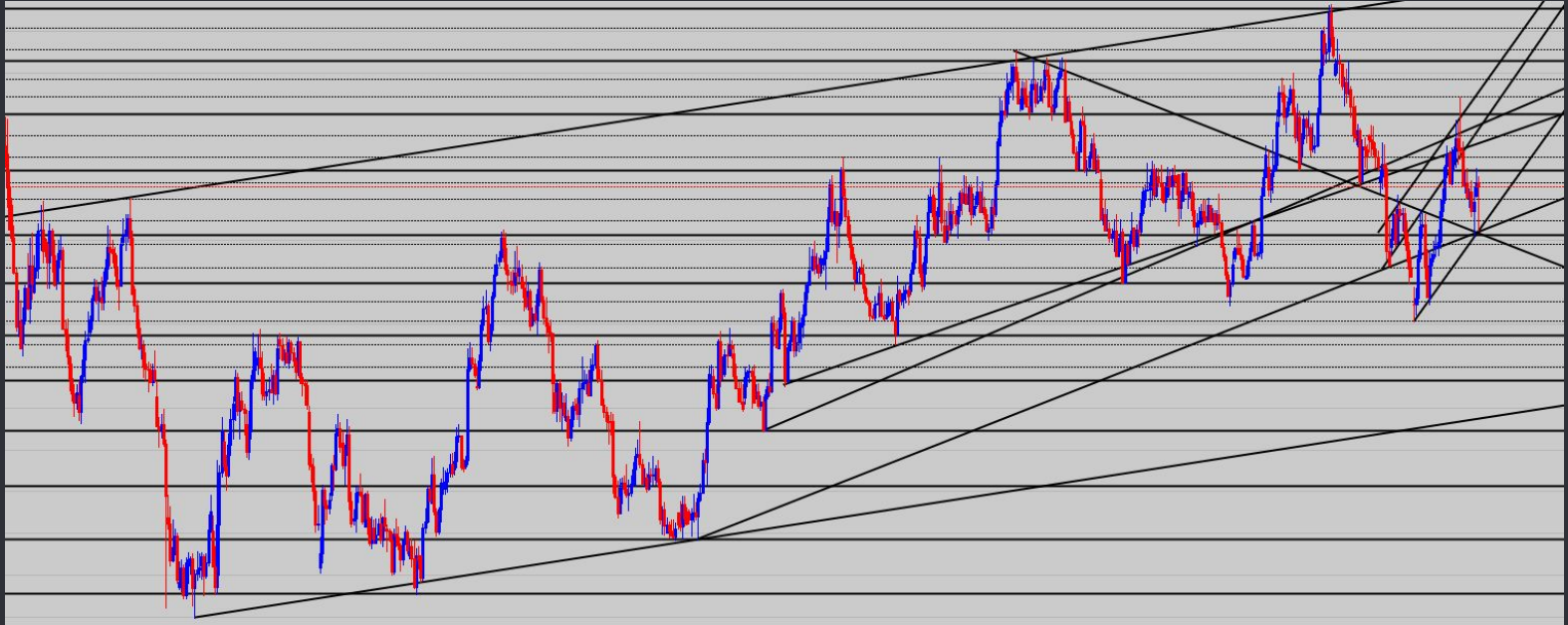
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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Trendlines
D1



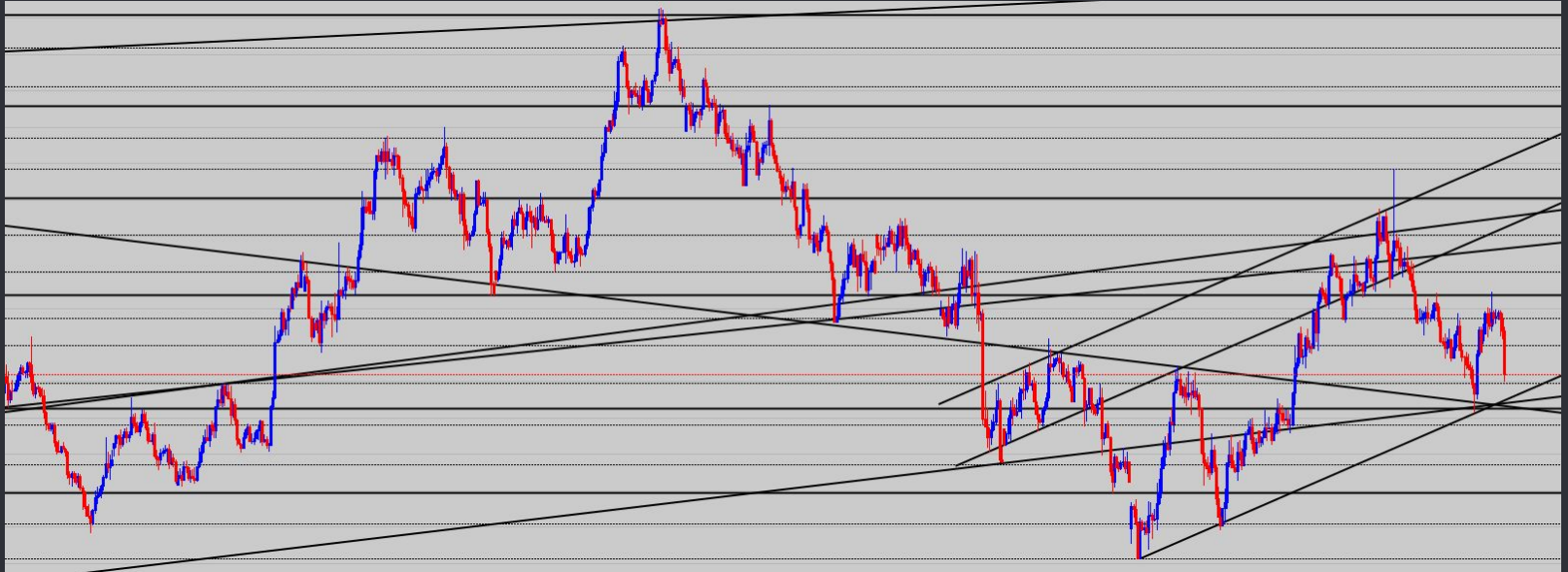
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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Trendlines
H4



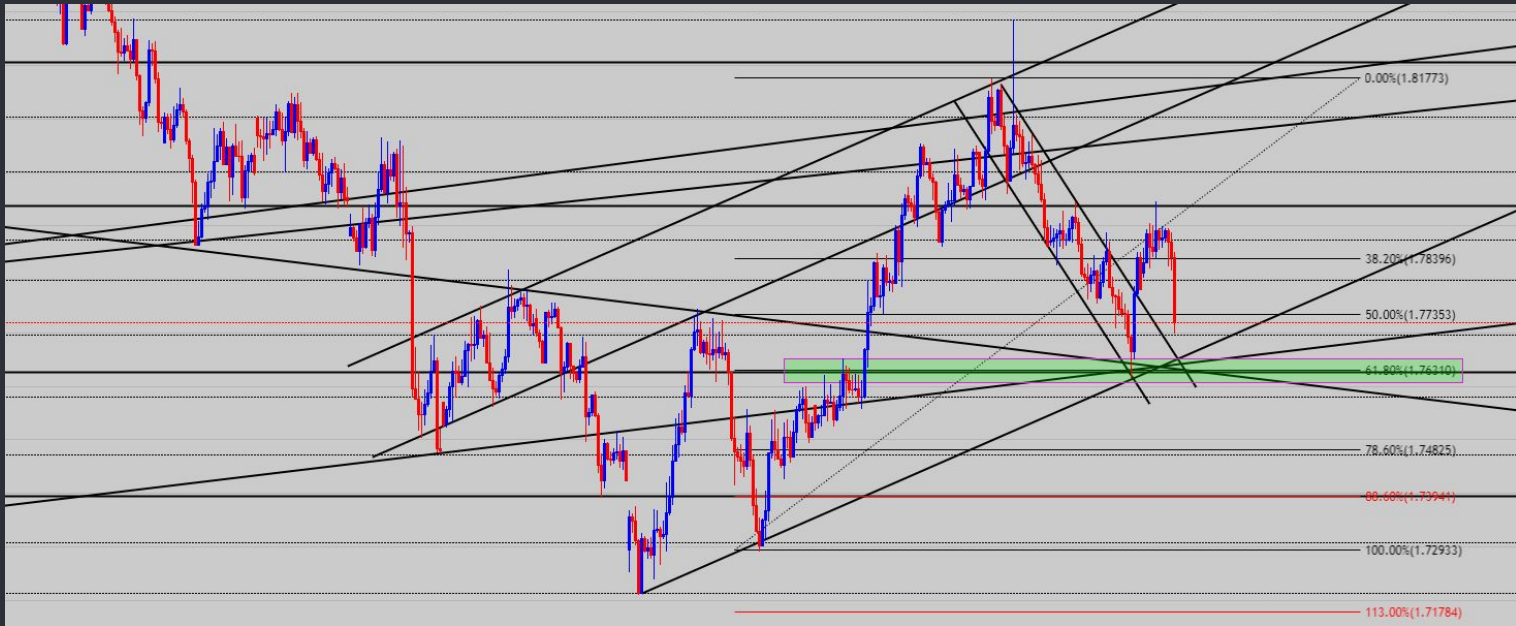
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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Fibonacci BB
61.8%



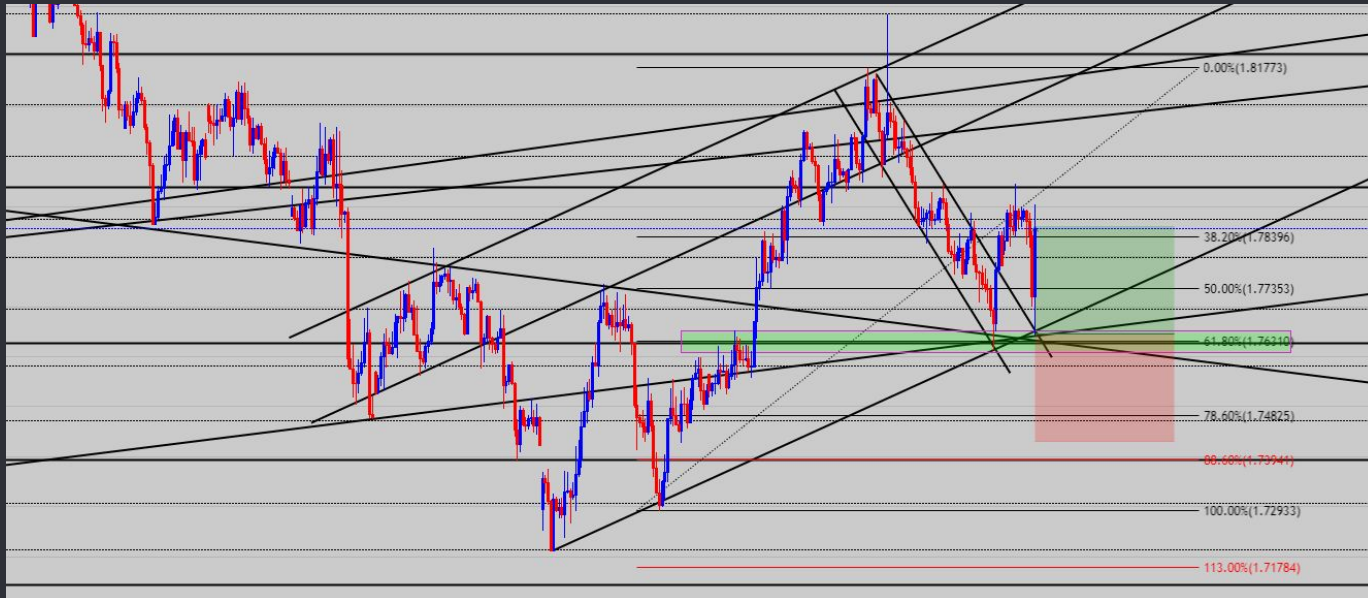
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TECHNICAL ANALYSIS

Fibonacci

Trade Entry
BB

Levels of retracement and extension (Impulsion and correction legs)



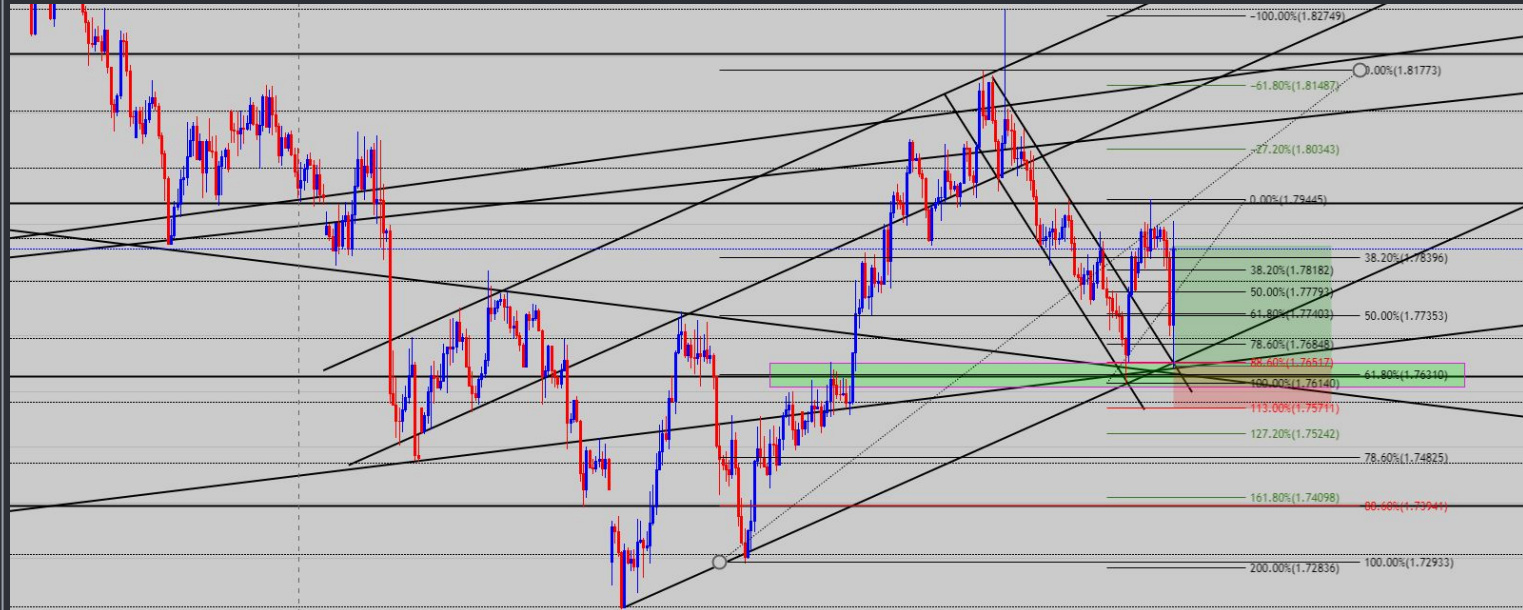
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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

SL Positioning
Reverse Fib



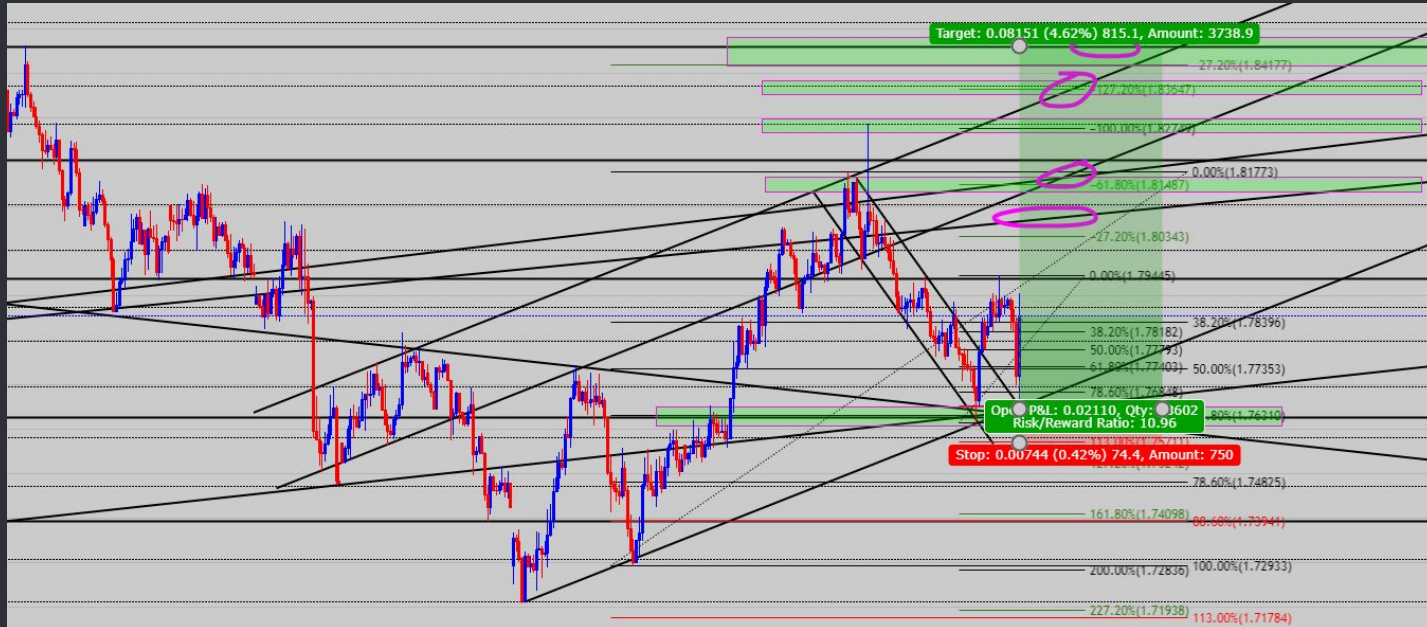
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TECHNICAL ANALYSIS

Fibonacci

TP Positioning

Levels of retracement and extension (Impulsion and correction legs)



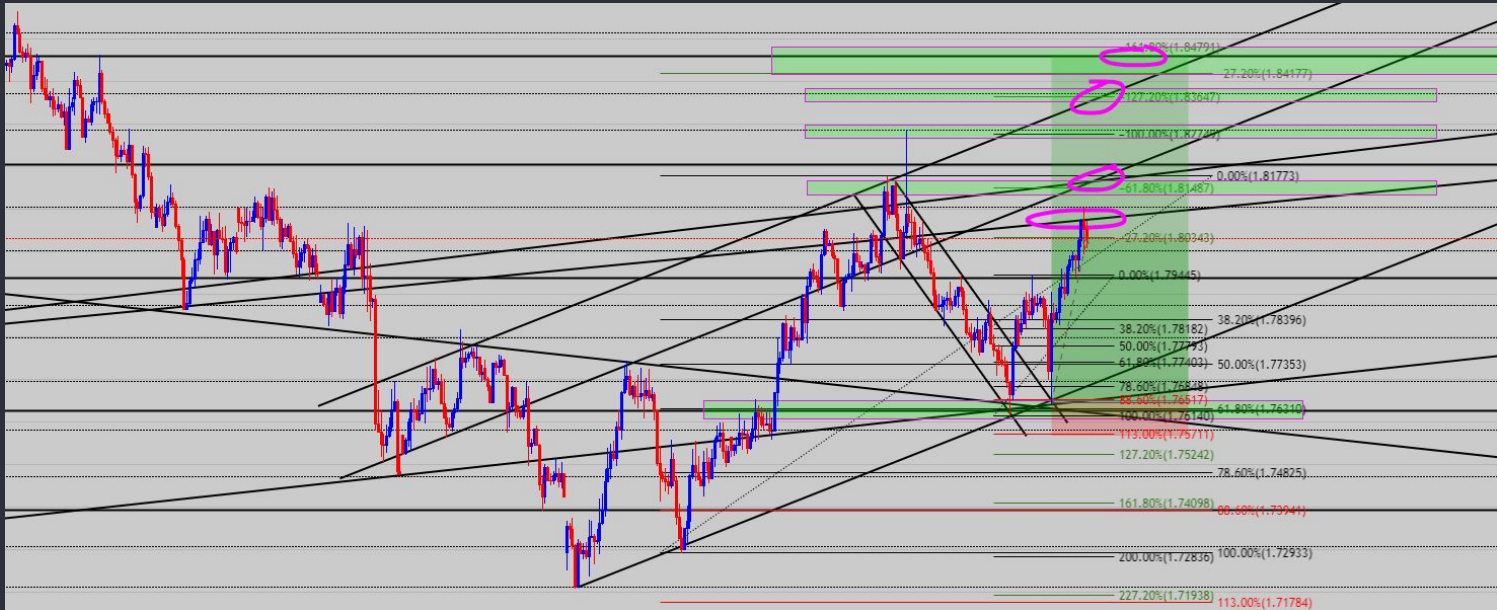
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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Trade
Management
Partial Profit



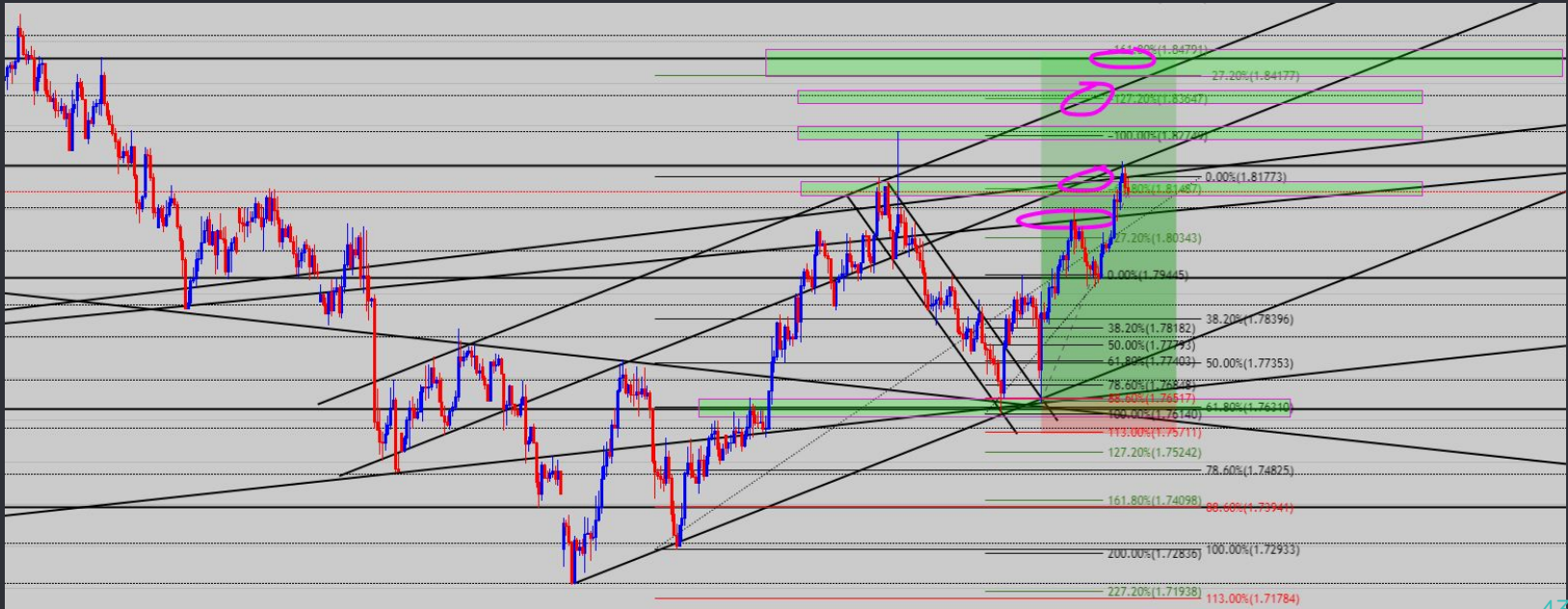
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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Trade
Management
Partial Profit



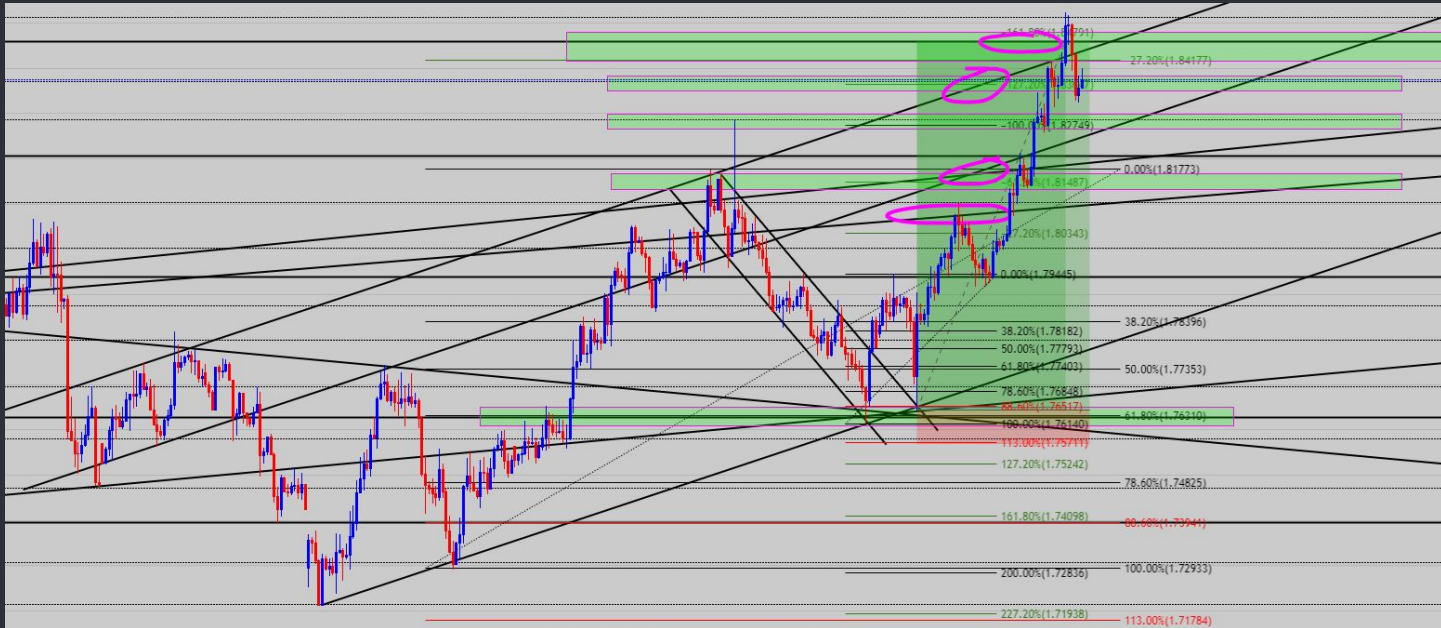
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TECHNICAL ANALYSIS

Fibonacci

Levels of retracement and extension (Impulsion and correction legs)

Final TP
815 pips
9 Days



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● TECHNICAL ANALYSIS

○ Divergence

RSI & MACD

The final step of our trading plan is to double check our trade and confirm it before we execute. We have to verify the RSI and MACD to understand if there is a hidden agenda from the buyers/sellers or from the institutions.

RSI:

The Relative Strength Index is a volume indicator, displaying the strength of buyers and sellers.

When the RSI is high we have more buyers and when it's low we have more sellers.

We will use this indicator principally in H4 for the Convergence or Divergence.

Default Settings.



A series of 18 horizontal lines, evenly spaced, spanning the width of the page. These lines are intended for writing or drawing.

TECHNICAL ANALYSIS

Divergence

RSI & MACD

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RSI:



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● TECHNICAL ANALYSIS

○ Divergence

RSI & MACD

The final step of our trading plan is to double check our trade and confirm it before we execute. We have to verify the RSI and MACD to understand if there is a hidden agenda from the buyers/sellers or from the institutions.

MACD:

The Moving Average Convergence Divergence is a volume indicator just like the RSI, displaying the strength of buyers and sellers.

The difference with the MACD is that we have the **ZERO LINE and SIGNAL LINE**.

The Zero Line indicates us when we flip from the buy or the sell side, it's our confirmation that the divergence has taken effect.

The signal line, when inside the histogram, indicates us a great momentum in the price.

We will use this indicator principally in H4 for the Convergence or Divergence.

Histogram Settings with no Moving Average.

[illegible]

TECHNICAL ANALYSIS

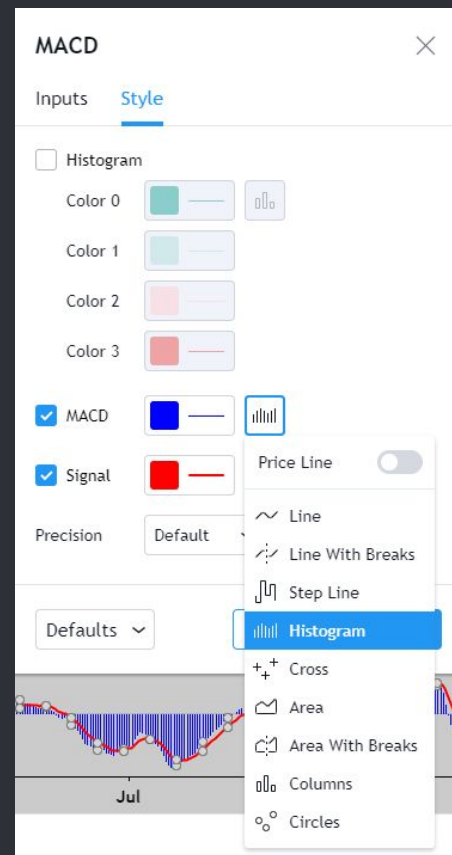
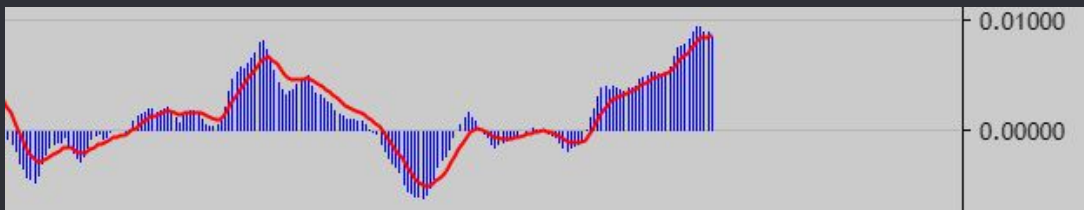
Divergence

RSI & MACD

The final step of our trading plan is to double check our trade and confirm it before we execute.

We have to verify the RSI and MACD to understand if there is a hidden agenda from the buyers/sellers or from the institutions.

MACD:



[illegible]

● TECHNICAL ANALYSIS

○ Divergence

Convergence vs Divergence

When we are about to make our trade, we have to verify if there is a convergence or divergence.

A convergence indicates us that there is no hidden agenda and we have a green light to make the trade.

A divergence indicates us that there MIGHT be a hidden agenda and we either have a yellow or red light depending on the confirmations from the RSI MACD.

Convergence:

When the RSI and MACD are following the Highs and Lows of the chart. This announces a continuation of the movement.

Divergence:

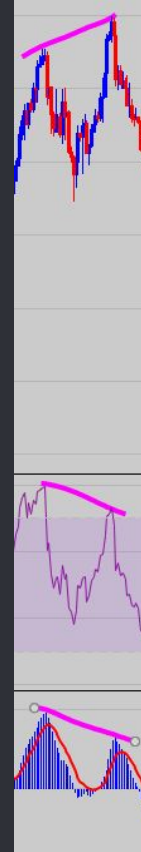
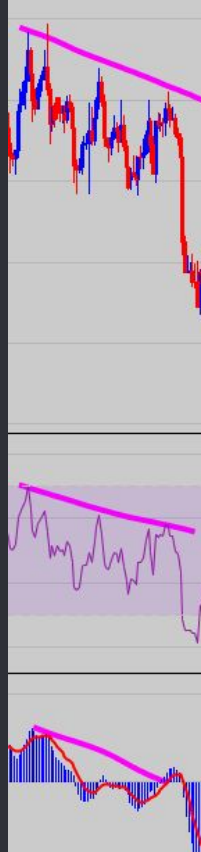
When the RSI and MACD are going against the Highs and Lows of the chart. This announces a correction or reversal.

[illegible]

TECHNICAL ANALYSIS

Divergence

Convergence vs Divergence



This image shows a full page of white paper with horizontal blue ruling lines. The lines are evenly spaced and run across the width of the page, providing a template for handwriting practice or general writing. There are no margins, text, or other markings on the page.

TECHNICAL ANALYSIS

Divergence

Convergence



This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are approximately 20 lines visible. The paper has a slight shadow on the right side, suggesting it's resting on a surface. There is no handwriting or other markings on the paper.

TECHNICAL ANALYSIS

Divergence

Divergence



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● TECHNICAL ANALYSIS

○ Divergence

Moving Averages

This is one of my favorite tools, we will be using the moving averages as elements of structure just like a support/resistance or a trendline.

They will be added to our confluence when we trade a BHG or BB.

Will also be used as obstacles for partial profit or take profit.

They are only useful in a trend, when we have a consolidation they tend to become chaotic.

We are going to be using the Regular MA 50 - 100 - 200 in D1 - H4 - H1

They are based on the price average of the last 50/100/200 candlesticks.

Financial Institutions use these exact MA's. They are a big part of their trading.

50 MA - Red

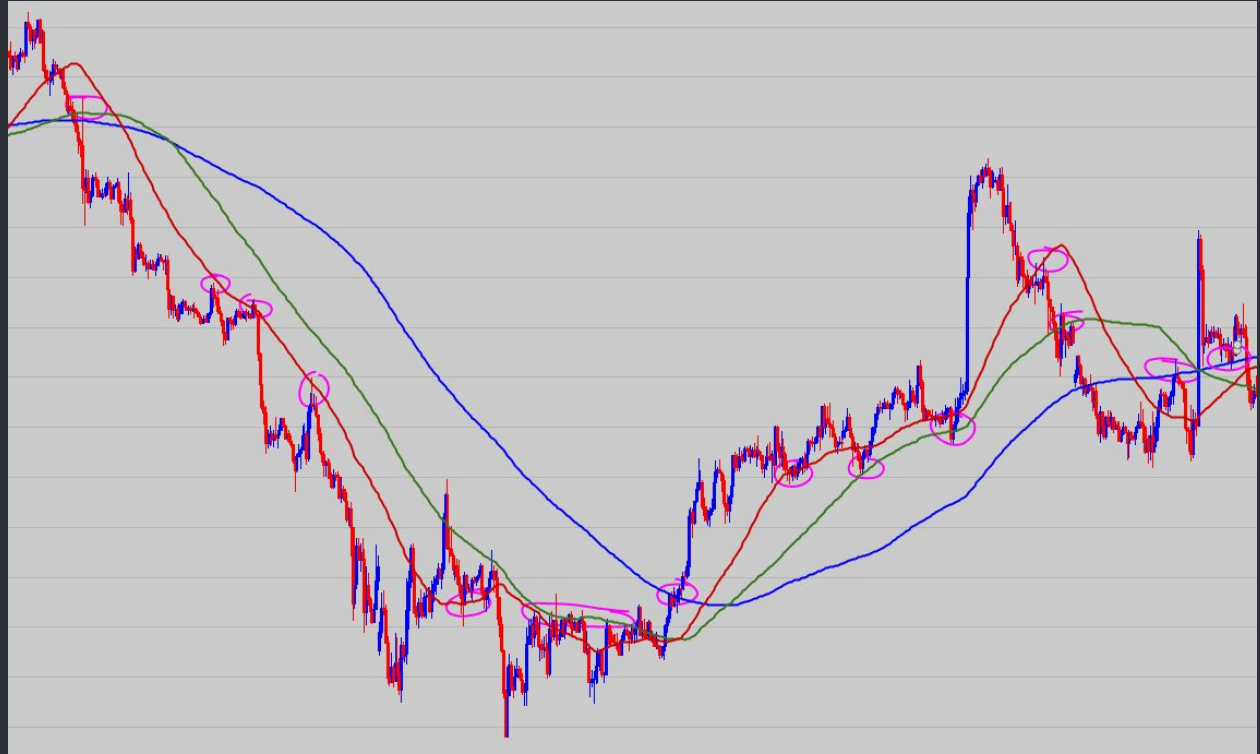
100 MA - Green

200 MA - Blue

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TECHNICAL ANALYSIS

Divergence
Moving Averages

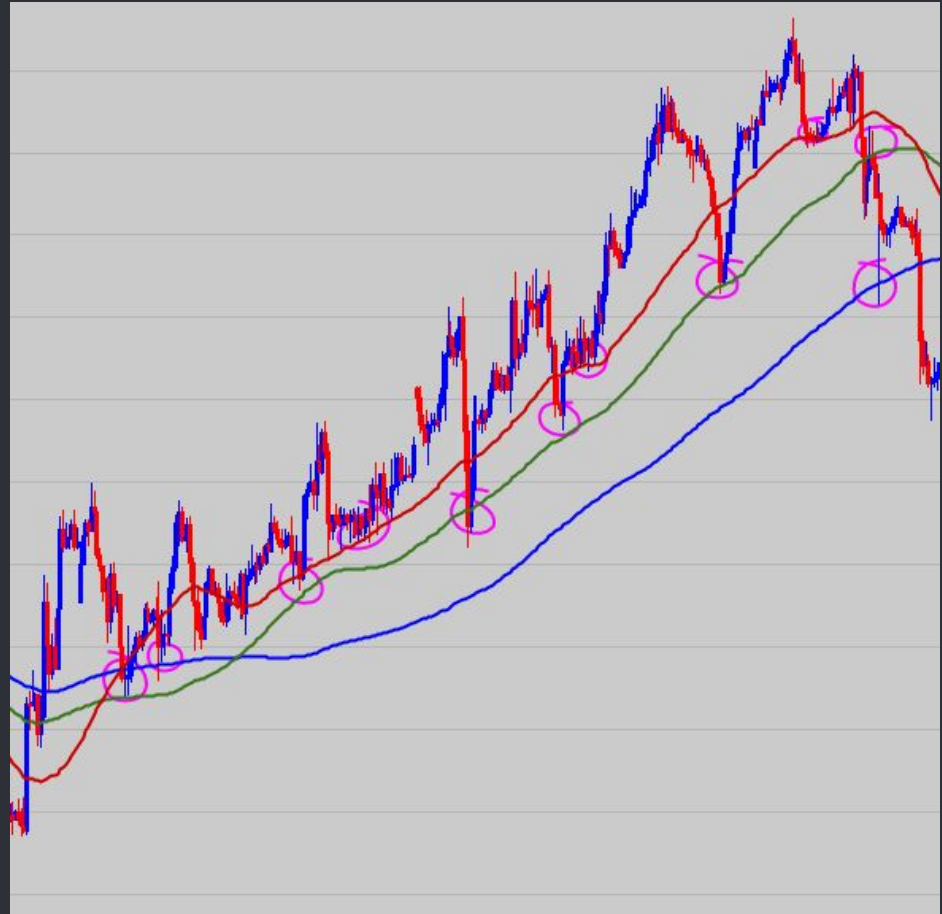


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TECHNICAL ANALYSIS

Divergence

Moving Averages



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RECAP

[illegible]



QUESTIONS

[illegible]



APEX PARAGON

Atlas Edition

Created by: Samy Bououchcha